

Introduction to Service Management with ITIL 4

Section 1: Introduction

Welcome

- The course includes:
 - Four dimensions
 - Service value system
 - Guiding principles
 - Service value chain
 - Continual improvement
 - The 34 practices
- ITIL is the most popular information technology **service management framework** in the world.

Download the Study Guide

What is a product?

A **product** is configuration of resources, created by the organization, that will be potentially valuable for their customers.

- An **organization** is a person or group of people that has its own functions with responsibilities, authorities, and relationships to achieve its objectives.
- A **customer** is the role that defines the requirements for a service and takes responsibility for the outcomes of service consumption.
- The **user** is the role that uses services.
- The **sponsor** is the role that authorizes the budget for service consumption. The term is also used to describe an organization or individual that provides financial or other support for an initiative.



What is a service?

A **service** is a means of enabling value co-creation by facilitating outcomes that customers want to achieve without the customer having to manage specific costs and risks.

- Value** is the perceived benefits, usefulness, and importance of something.
- An **outcome** is a result for a stakeholder enabled by one or more outputs.
- An **output** is a tangible or intangible deliverable of an activity.
- Cost** is the amount of money spent on a specific activity or resource.
- Risk** is a possible event that could cause harm or loss, or make it more difficult to achieve objectives (*uncertainty of outcome*).

Service management

is a set of specialized organizational capabilities for enabling value for customers in the form of services.



What are service relationships?

Service relationship management are the joint activities performed by a service provider and a service consumer to ensure continual value co-creation based on agreed and available service offerings.

- A **service offering** is a formal description of one or more services, designed to address the needs of a target consumer group. A service offering may include goods, access to resources, and service actions.
- A **service provision** is the activities performed by an organization to provide services, including management of the provider's resources, configured to deliver the service; ensuring access to these resources for users; fulfillment of the agreed service actions; service level management; and continual improvement. It may also include the supply of goods.
- Service consumption** is the activities performed by an organization to consume services. It includes the management of the consumer's resources needed to use the service, service actions performed by users, and the receiving (acquiring) or goods (if required).

Goods

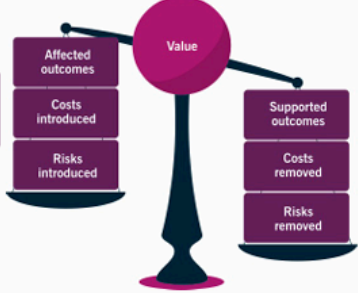
have the ownership transferred to a consumer

Access

Does not have the ownership transferred to a consumer

Actions

are performed by the provider to address a consumer need



Utility/Warranty

Utility is the functionality offered by a product or service to meet a particular need.

- What a service does (fit for purpose)

Warranty is the assurance that a product or service will meet agreed requirements.

- How a service performs (fit for use)



www.diontraining.com * Design by Dion Training Solutions, LLC. Content is © Copyright AXELOS Limited 2018. Used under permission of AXELOS Limited. All rights reserved. * www.diontraining.com

- What is a product?
 - A **product** is a configuration of resources, created by the organization, that will be potentially valuable for its customers.
 - An **organization** is a person or group of people that has its own functions with responsibilities, authorities, and relationships to achieve its objectives.
 - A customer is the role that defines the requirements for a service and takes responsibility for the outcomes of their service consumption.
 - The **user** is the role that uses services.
 - The **sponsor** is the role that authorizes the budget for service consumption. The term is also used to describe an organization or individual that provides financial or other support for an initiative.
- What is Service?
 - A **service** is a means of enabling value co-creation by facilitating outcomes that customers want to achieve without the customer having

to manage specific costs and risks.

- **Value** is the perceived benefits, usefulness, and importance of something.
 - An **outcome** is a result for a stakeholder enabled by one or more outputs.
 - **Cost** is the amount of money spent on a specific activity or resource.
 - **Risk** is a possible event that could cause harm or loss, or make it more difficult to achieve objectives.
- Service Relationship: A cooperation between a service provider and a service consumer, including service provision, service consumption, and service relationship management.
 - **Service Offering**: A formal description of one or more services, designed to address the needs of a target consumer group. A service offering may include goods, access to resources, and service actions.
 - **Service Provision**: The activities performed by an organization to provide the services, including management of the provider's resources, configured to deliver the service; ensuring access to these resources for users; fulfillment of the agreed service actions; service level management; and continual improvement. It may also include the supply of goods.
 - **Service Consumption**: The activities performed by an organization to consume the services. It includes the management of the consumer's resources needed to use the service, service actions performed by users, and receiving (acquiring) or goods (if required).
 - Service Relationship Management: The activities that the service provider and the service consumer do together to enable value co-creation to occur based upon the service offerings.
 - Service Management is a set of specialized organizational capabilities for enabling value for customers in the form of services.
 - Goods have the ownership transferred to a consumer
 - Access does not have the ownership transferred to the consumer
 - Actions are performed by the provider to address a consumer need

- Utility is the functionality a product or service offers to meet a particular need.
 - What a service does (fit for purpose)
- Warranty is the assurance that a product or service will meet agreed requirements.
 - How a service performs (fit for use)

What is the service value system?

The **Service Value System (SVS)** is a model representing how all the components and activities of an organization work together to facilitate value creation.

The Four Dimensions...

- **Organizations and People** ensures that the way an organization is structured and managed, as well as its roles, responsibilities, and systems of authority and communication, is well defined and supports its overall strategy and operating model.
- **Information and Technology** includes the information and knowledge used to deliver services, and the information and technologies used to manage all aspects of the service value system.
- **Partners and Suppliers** encompasses the relationships an organization has with other organizations that are involved in the design, development, deployment, delivery, support, and/or continual improvement of services.
- **Value Streams and Processes** defines the activities, workflows, controls, and procedures needed to achieve the agreed objectives.

What is the service value chain?

The **Service Value Chain (SVC)** is the innermost cube containing 6 main activities in the Service Value System.

- **Plan** ensures a shared understanding of the vision, current status, and improvement direction for all four dimensions and all products and services across an organization.
- **Improve** ensures continual improvement of products, services, and practices across all value chain activities and the four dimensions of service management.
- **Engage** provides a good understanding of stakeholder needs, transparency, continual engagement, and good relationships with all stakeholders.
- **Design & Transition** ensures products and services continually meet stakeholder expectations for quality, costs, & time to market.
- **Obtain/Build** ensures service components are available when and where they are needed, and that they meet agreed specifications.
- **Deliver & Support** ensures services are delivered and supported according to agreed specifications and stakeholder expectations.

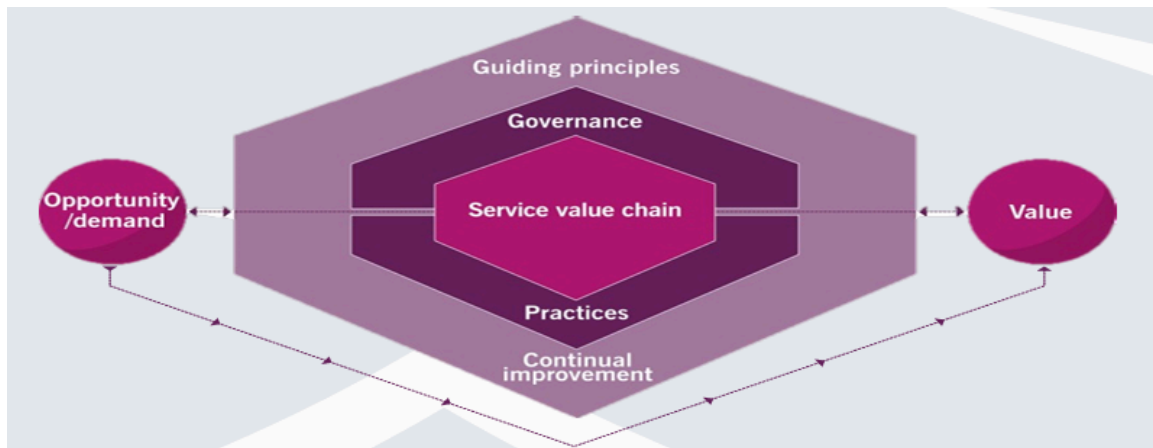
Service Value Chain

What is a value stream?

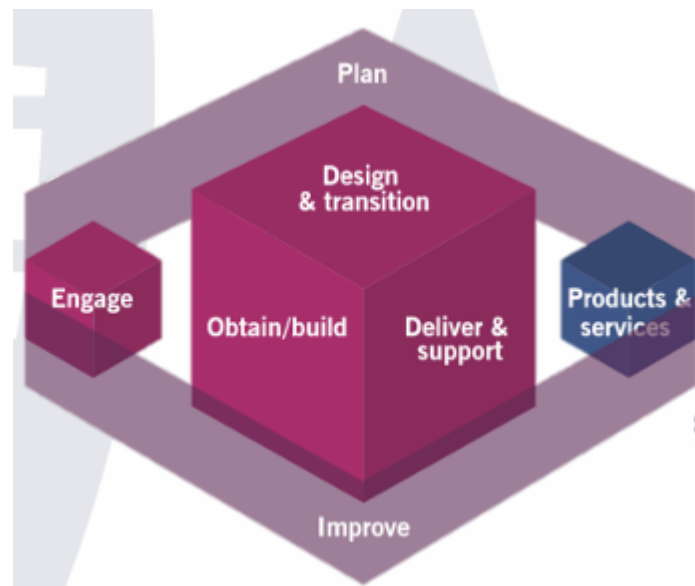
A **value stream** is a series of steps an organization undertakes to create and deliver products and services to service consumers.

www.diontraining.com * Design by Dion Training Solutions, LLC. Content is © Copyright AXELOS Limited 2018. Used under permission of AXELOS Limited. All rights reserved. * www.diontraining.com

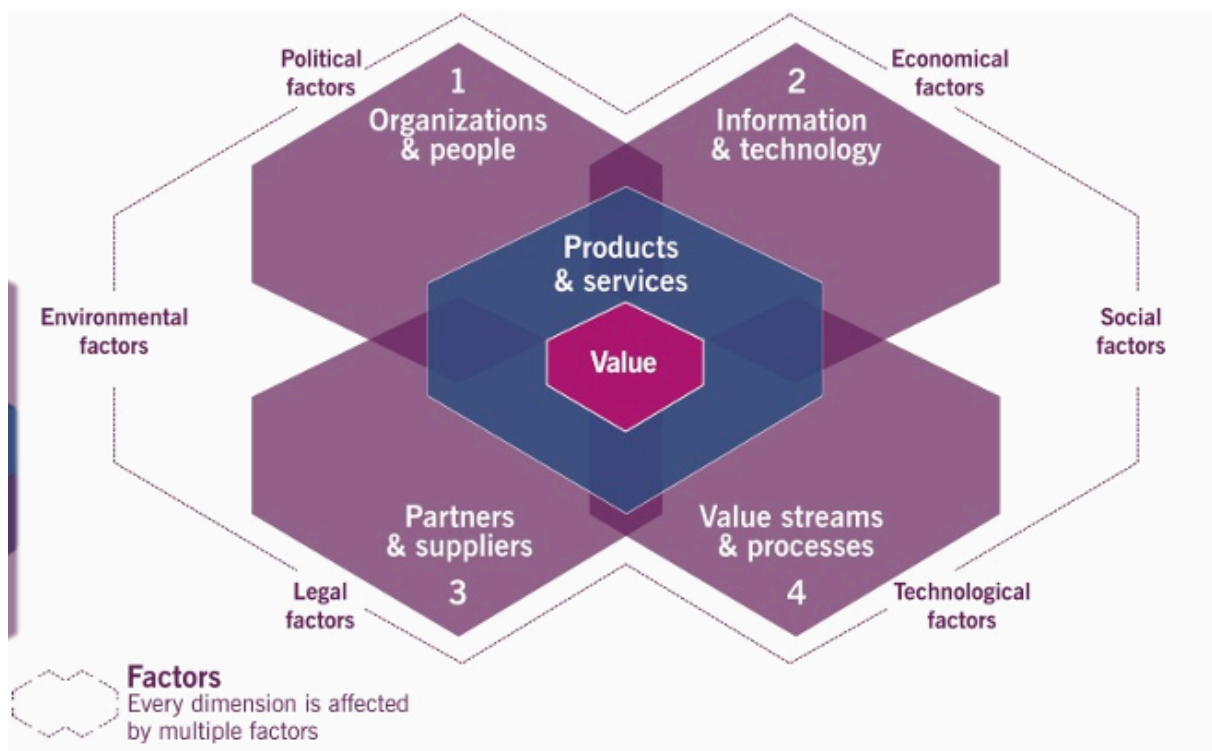
- What is the service value system?
 - The **Service Value System (SVS)** is a model representing how all the components and activities of an organization work together to facilitate value creation.



- What is the service value chain?
 - The **Service Value Chain (VSC)** is the innermost cube containing 6 main activities in the Service Value System.
 - **Plan** ensures a shared understanding of the vision, current status, and improvement direction for all four dimensions and all products and services across an organization.
 - **Improvement** ensures continual improvement of products, services, and practices across all value chain activities and the four dimensions of service management.
 - **Engage** provides a good understanding of stakeholder needs, transparency, continual engagement, and good relationships with all stakeholders.
 - **Design & Transition** ensures products and services continually meet stakeholder expectations for quality, costs, and time to market.
 - **Obtain/Build** ensures service components are available when and where they are needed and that they meet agreed specifications.
 - **Deliver & Support** ensures services are delivered and supported according to agreed specifications and stakeholders' expectations.

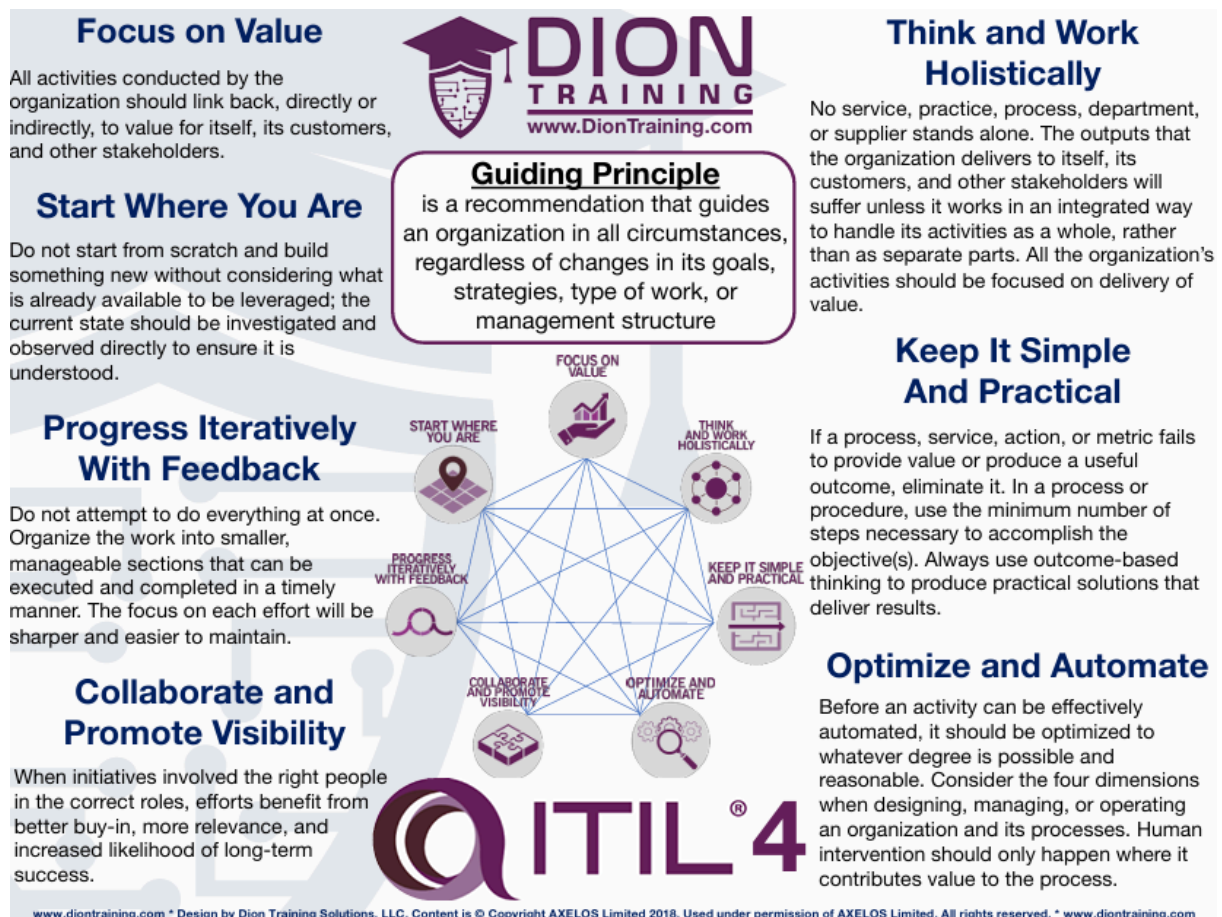


- Four Dimensions are the four perspectives that are critical to the effective and efficient facilitation of value for customers and other stakeholders in the form of products and services.
 - Organization & People ensures that the way an organization is structured and managed, as well as its roles, responsibilities, and systems of authority and communication, are well defined and support its overall strategy and operation model.
 - Information & Technology includes the information and knowledge used to deliver services, and the information and technologies used to manage all aspects of the service value system.
 - Partners & Suppliers encompasses the relationships an organization has with other organizations that are involved in the design, development, deployment, delivery, support, and/or continual improvement of services.
 - Value Streams & Processes define the activities, workflows, controls, and procedures needed to achieve the agreed objectives.



- What is value stream?
 - A Value Stream is a series of steps an organization undertakes to create and deliver products and services to service consumers.





• Guiding Principles

- Progress iteratively with feedback
 - Do not attempt to do everything at once. Organize the work into smaller, manageable sections that can be executed and completed in a timely manner. The focus on each effort will be sharper and easier to maintain.
- Optimize and automate
 - Before an activity can be effectively automated, it should be optimized to whatever degree is possible and reasonable. Consider the four dimensions when designing, managing, or operating an organization and its processes. Human intervention should only happen where it contributes value to the process.
- Collaborate and promote visibility
 - When initiatives involved the right people in the correct roles, efforts benefit from better buy-in, more relevance, and increased of long-term success.

- Think and work holistically
 - No service, practice, process, department, or supplier stands alone. The outputs that the organization delivers to itself, its customers, and other stakeholders will suffer unless it works in an integrated way to handle its activities as a whole, rather than as separate parts. All the organization's activities should be focused on delivery of value.
 - Focus on value
 - All activities conducted by the organization should link back, directly or indirectly, to value for itself, its customers, and other stakeholders.
 - Start where you are
 - Do not start from scratch and build something new without considering what is already available to be leveraged; the current state should be investigated and observed directly to ensure it is understood
 - Keep it simple and practical
 - If a process, service, action, or metric fails to provide value or produce a useful outcome, eliminate it. In a process or procedure, use the minimum number of steps necessary to accomplish the objective(s). Always use outcome-based thinking to produce practical solutions that deliver results.
-

What is a practice?

A **practice** is a set of organizational resources designed for performing work or accomplishing an objective

- **Change enablement** is the practice of ensuring that risks are properly assessed, authorizing changes to proceed and managing a change schedule in order to maximize the number of successful service and products changes.
- A **change** is an addition, modification, or removal of anything that could have a direct or indirect effect on services.
- **Deployment management** is the practice of moving new or changed hardware, software, documentation, processes, or any other service component to live environments.
- **Incident management** is the practice of minimizing the negative impacts of incidents by restoring normal service operation as quickly as possible.
- **Information security management** is the practice of protecting an organization by understanding and managing risks to the confidentiality, integrity, and availability of information.
- **IT asset management** is the practice of planning and managing the full lifecycle of all information technology (IT) assets.
- **Monitoring and event management** is the practice of systematically observing services and service components, and recording and reporting selected changes of state identified as events.
 - An **event** is any change of state that has significance for the management of a service or other configuration item.
- **Problem management** is the practice of reducing the likelihood and impact of incidents by identifying actual and potential causes of incidents, and managing workarounds and known errors.
 - A **problem** is a cause, or potential cause, of one or more incidents.
 - An **incident** is an unplanned interruption to a service or reduction in the quality of a service.
 - A **workaround** is a solution that reduces or eliminates the impact of an incident or problem for which a full resolution is not yet available.
 - A **known error** is a problem that has been analyzed but has not been resolved.

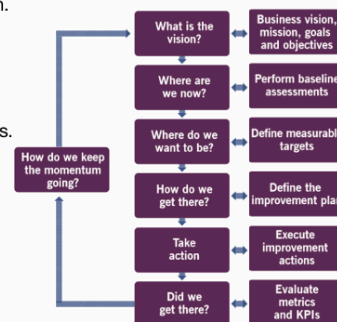


What is continual improvement?

Continual improvement is the practice of aligning an organization's practices and services with changing business needs through the ongoing identification and improvement of all elements involved in the effective management of products and services.

What is the continual improvement model?

The **continual improvement model** is a high-level guide to support improvement initiatives using a cyclical seven steps framework.



IT Asset

is any financially valuable component that can contribute to the delivery of an IT product of service.



www.diontraining.com * Design by Dion Training Solutions, LLC. Content is © Copyright AXELOS Limited 2018. Used under permission of AXELOS Limited. All rights reserved. * www.diontraining.com

What is a practice?

A **practice** is a set of organizational resources designed for performing work or accomplishing an objective

- **Relationship management** is the practice of establishing and nurturing links between an organization and its stakeholders at strategic and tactical levels.
- **Release management** is the practice of making new and changed services and features available for use.
- **Service configuration management** is the practice of ensuring that accurate and reliable information about the configuration of services, and the configuration items that support them, is available when and where needed.
- **Service level management** is the practice of setting clear business-based targets for service performance so that the delivery of a service can be properly assessed, monitored, and managed against these targets.
- **Service request management** is the practice of supporting the agreed quality of a service by handling all pre-defined, user-initiated service requests in an effective and user-friendly manner.
- **Supplier management** is the practice of ensuring that an organization's suppliers and their performance levels are managed appropriately to support the provision of seamless quality products and services.



What is the service desk?

The **service desk** is the practice designed to capture demand for incident resolution and service requests.

- The entry point/single point of contact for the service provider with all of its users.



How do I schedule my exam?

- Go to <https://www.DionTraining.com>
- Select Exams and your voucher type
- Use coupon code CRAMCARD to save \$\$\$
- Checkout and a voucher code is sent to your email within minutes
- Follow scheduling instructions in email to take the exam using the PeopleCert web-proctoring service online 24/7.

About the Exam

- ITIL 4 Foundation exam contains 40 multiple-choice questions in 60 minutes.
- If you are taking it in a non-native language, you get 75 minutes to complete it.
 - Must score 26 out of 40 to pass (65%)



Configuration Item (CI)

is any component that needs to be managed in order to deliver an IT service

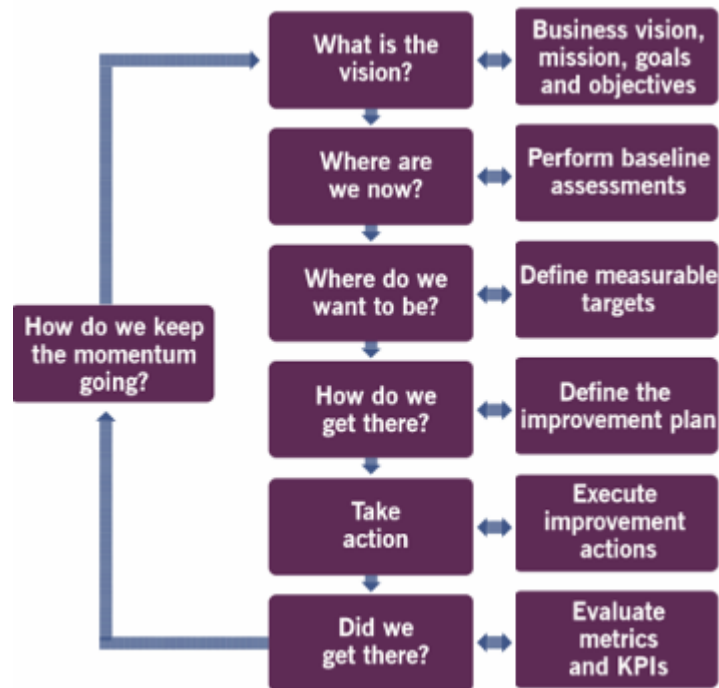
Service Level Agreement (SLA)

is a documented agreement between a service provider and a customer that identifies services required and the expected level of service

www.diontraining.com * Design by Dion Training Solutions, LLC. Content is © Copyright AXELOS Limited 2018. Used under permission of AXELOS Limited. All rights reserved. * www.diontraining.com

- What is a practice?
 - A practice is a set of organizational resources designed for performing work or accomplishing an objective
 - Change enablement is the practice of ensuring that risks are properly assessed, authorizing changes to proceed and managing a change schedule in order to maximize the number of successful service and products changes.
 - A change is an addition, modification, or removal of anything that could have a direct or indirect effect on services.
 - Deployment management is the practice of moving new or changed hardware, software, documentation, processes, or any other service component to live environments.
 - Incident management is the practice of minimizing the negative impacts of incidents by restoring normal service operation as quickly as possible.
 - Information security management is the practice of protecting an organization by understanding and managing risks to the confidentiality, integrity, and availability of information.
 - IT asset management is the practice of planning and managing the full lifecycle of all information technology (IT) assets.
 - Monitoring and event management is the practice of systematically observing services and service components, and recording and reporting selected changes of state identified as events.
 - An event is any change of state that has significance for the management of a service or other configuration item.
 - Problem management is the practice of reducing the likelihood and impact of incidents by identifying actual and potential causes of incidents, and managing workarounds and known errors.
 - A problem is a cause, or potential cause, of one or more incidents.
 - An incident is an unplanned interruption to a service or a reduction in the quality of a service.

- A workaround is a solution that reduces or problem for which a full resolution is not yet available.
- A known error is a problem that has been analyzed but has not been resolved.
- Relationship management is the practice of establishing and nurturing links between an organization and its stakeholders at strategic and tactical levels.
- Release management is the practice of making new and changed services and features available for use.
- Service configuration management is the practice of ensuring that accurate and reliable information about the configuration of services, and the configuration items that support them, is available when and where needed.
- Service level management is the practice of setting clear business-based targets for service performance so that the delivery of a service can be properly assessed, monitored, and managed against these targets.
- Service request management is the practice of supporting the agreed quality of a service by handling all pre-defined, user-initiated service requests in an effective and user-friendly manner.
- Supplier management is the practice of ensuring that an organization's suppliers and their performance levels are managed appropriately to support the provision of seamless quality products and services.
- What is continual improvement?
 - Continual improvement is the practice of aligning an organization's practices and services with changing business needs through the ongoing identification and improvement of all elements involved in the effective management of products and services.
- What is the continual improvement model?
 - The continual improvement model is a high-level guide to support improvement initiatives using a cyclical seven steps framework.



- IT asset: is any financially valuable component that can contribute to the delivery of an IT product or service.
- Service Level Agreement (SLA) is a documented agreement between a service provider and a customer that identifies the service required and the expected level of service.
- Configuration Item (CI) is any component that needs to be managed in order to deliver an IT service.

4th Industrial Revolution

- 1st revolution: Mechanization, steam, and water power
- 2nd revolution: Mass production and electricity
- 3rd revolution: Electronic and IT systems, automation
- 4th revolution: Cyber-physical systems

Service Organizations

- Service Management: a set of specialized organizational capabilities for enabling **value** to customers in the form of **services**.
- ITIL 4 provides organizations with a **comprehensive framework for IT service management**.

- Governance: the means by which an organization is **directed and controlled**.

Quiz 1: Introduction

Section 2: Service Management

Service Management

- **Organizational capability** refers to having both capacity and the ability to perform the functions required.
- **Organize** your people best to support the activities, practices, and processes.

Value

- Value: the **perceived** benefits, usefulness, and importance of something.
- Value is based on the **recipient's** perception.

Organizations and People

- Organization: a person or a group of people that has its own functions, responsibilities, and relationships to achieve its objectives.
- Consumer: a role performed by an organization in a relationship that uses (or consumes) those services.
- Organizations vary in size, complexity, and legal structure.
- People are **organized** around common goals within a larger business organization to achieve common objectives in a coordinated manner.
- Value is **co-created** by the service provider and the consumer.
- Service relationships: you can be **both** a supplier and a consumer simultaneously.
- Roles:
 - User: a person who uses services.
 - Customer: a person who defines the requirements for the service and takes responsibility for the outcomes of service consumption.

- Sponsor: a person who authorizes the budget for service consumption.
- A disconnect between requirements, budget, and usability may occur.

Services and Products

- Service: **means of enabling value co-creation** by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.
- Product: **configuration of resources** created by the organization that will be potentially valuable for its customers.
 - Resources can be owned or managed by the organization.
 - A product is how an organization configures resources into an offer.
 - A product combines and simplifies the various services.

Service Offerings

- A description of one or more services designed to address the needs of a target consumer group.
- Can include **goods**, **access to resources**, and **service actions**.
 - Goods: things that are transferred from the service provider to the consumer, and then the consumer is responsible for their future use.
 - Access to resources: Access to resources is granted or licensed to a consumer under agreed terms and conditions.
 - Service action: Actions performed to address a consumer's needs.

Service Relationships

- Service Relationship: A cooperation between a service provider and a service consumer, including service provision, service consumption, and service relationship management.
 - Service Provision: The activities performed by an organization to provide the services.
 - Service Consumption: The activities performed by an organization to consume the services.

- Service Relationship Management: The activities that the service provider and the service consumer do together to enable value co-creation to occur based upon the service offerings.
- Service Relationship Model: An organization might be both a service provider and a service consumer at the same time.

Outcomes

- Outcome: A result for a stakeholder, enabled by one or more outputs.
- Service: **Means of enabling value co-creation** by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.
-

Costs

- Cost: The amount of money spent on a specific activity or resource,
- Cost may be measured in man-hours or FTEs (equals 2000 hours of work per year)
- A service provider aims to reduce or remove costs for you when providing a service.
-

Risks

- Risk: A possible event that could cause harm, loss, or make it more difficult to achieve objectives.
 - A service provider's goal should be to **reduce risk** for the consumer.
 - Risk is **potentially imposed** on consumers by the service
 - Consumers should **contribute to the reduction** of risk
 - **Risk acceptance** is used when the risk or cost is considered low
 - **Risk mitigation** is used when you implement technology or processes to reduce the risk
 -

Utility and Warranty

- Utility is the functionality a product or service offers to meet a particular need.
 - What a service does (fit for purpose)
- Warranty is the assurance that a product or service will meet agreed requirements.
 - How a service performs (fit for use)

Quiz 2: Service Management

Section 3: The Basics of ITIL 4 (BONUS SECTION)

Four Dimensions of Service Management

Service Value System

Guiding Principles

Service Value Chain

Continual Improvement

The 34 Practices

Putting It All Together

Quiz 3: Basics of ITIL 4

Section 4: Practice Exam

ITIL 4 Foundation Exam

Quiz 4: Classic Questions

Quiz 5: Missing Word Questions

Quiz 6: List Questions

Section 5: Conclusion

ITIL Certification Path

BONUS: Conclusion

ITIL 4 Foundation Training

<https://lms.thoughtrock.com/course/view.php?id=36>

Topic 1: Introduction

About This Training > IT Service Management in the Modern World

According to the World Trade Organization¹:

- Services comprise the largest and most dynamic component of both developed and developing economies
- Services are the main way that organizations create value for themselves and their customers
- Almost all services today are IT-enabled, which means there is tremendous benefit for organizations in creating, expanding and improving their IT service management capability

Technology is advancing faster than ever before. Some of these developments include:

- Cloud computing
- Infrastructure as a service
- Machine learning
- Block chain

These developments have created opportunities for value creation and have led to IT becoming an important business driver and source of competitive advantage.

**Positions IT Service Management as
a key strategic capability.**

About This Training > How Organizations Are Transforming

Many organizations are going through a transformation to explore these opportunities. These are often referred to as 'digital' but they are about more than just technology.

Evolution in the way
organizations work.

Organizations must balance the need for stability and predictability with the rising need for operational agility and increased velocity.

Information and technology are becoming more thoroughly integrated with other organizational capabilities, silos are breaking down, and cross-functional teams are being utilized more widely. Service management is changing to address and support this organizational shift and ensure opportunities from new technologies, and new ways of working, are maximized.

Service management is
evolving and so is ITIL.

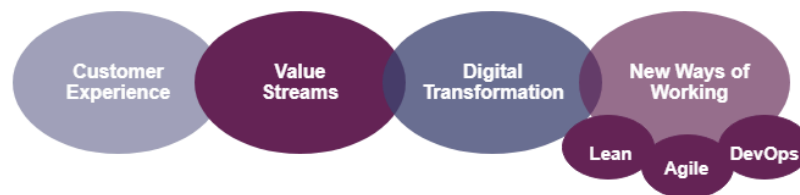
ITIL is the most adopted guidance of IT Service management (ITSM) in the world.

About ITIL 4 > Overview

ITIL has led the IT Service Management (ITSM) industry with guidance, training and certification programs for over 30 years.

ITIL 4 brings ITIL up to date by re-shaping much of the established ITSM practices in the wider context of:

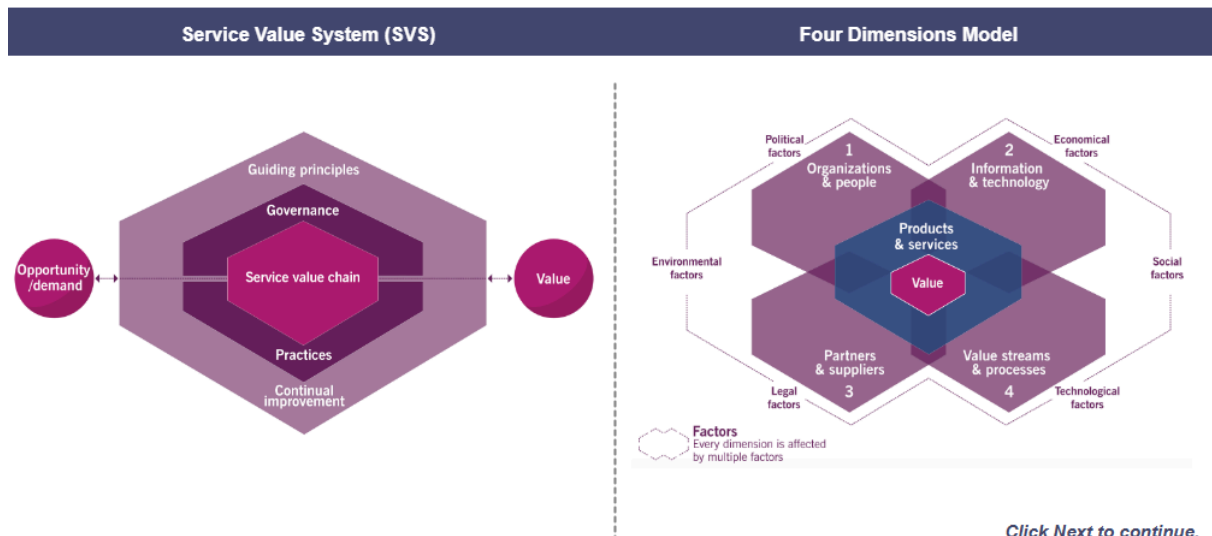
- Customer experience
- Value streams
- Digital transformation
- Embracing new ways of working, such as Lean, Agile, and DevOps



ITIL 4 provides the guidance organizations need to address new service management challenges and utilize the potential of modern technology. It is designed to ensure a flexible, coordinated and integrated system for the effective governance and management of IT-enabled services.

About ITIL 4 > Structure and Benefits of ITIL 4

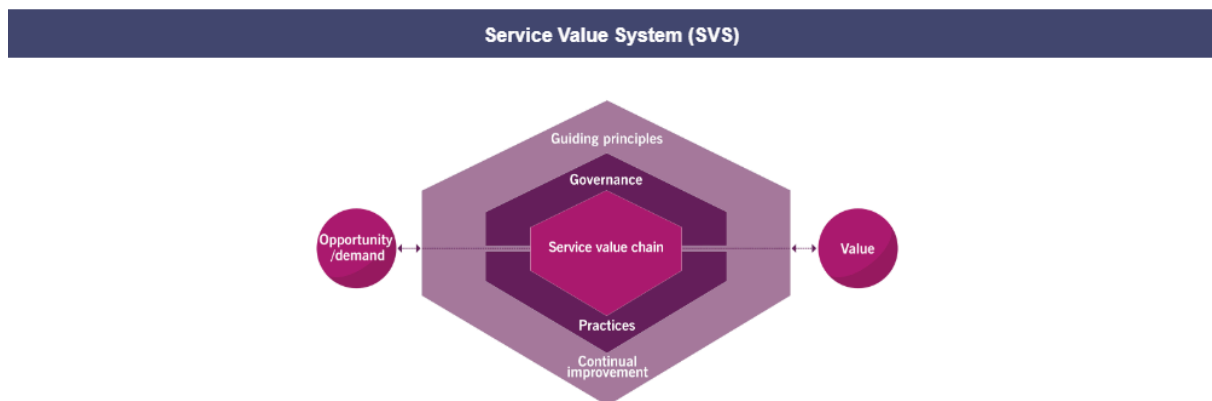
The ITIL 4 framework consists of the following key components:



About ITIL 4 > Service Value System (SVS)

The Service Value System represents how the various components and activities of an organization work together to facilitate value creation through IT-enabled services. This is the key model and most critical visual of ITIL 4.

When these components and activities are combined in flexible ways, they require integration and coordination to keep them consistent. This is where the SVS helps to provide a strong, unified and value-focused direction for an organization.



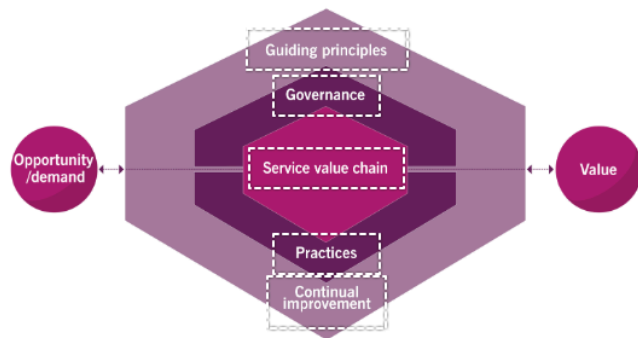
About ITIL 4 > Core Components of SVS

The Service Value System is a description of how an organization integrates and manages actions in key areas to facilitate value creation to meet defined objectives. It describes how practices and governance are integrated to enhance the Service Value Chain activities under the guidelines of the organization's Guiding Principles and Continual Improvement objectives.

The core components of the ITIL SVS are:

- ITIL service value chain
- ITIL guiding principles
- Governance
- ITIL practices
- Continual improvement

Click on each of the core areas on the image for more information

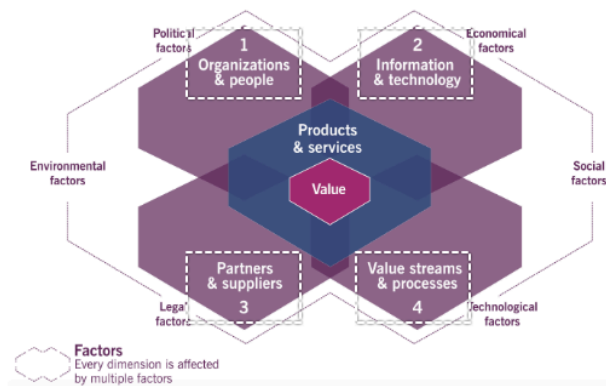


About ITIL 4 > Four Dimensions of Service Management

To ensure a holistic approach to service management, ITIL 4 outlines **four dimensions of service management**, from which each component of the SVS should be considered. The four dimensions are:

1. Organizations and people
2. Information and technology
3. Partners and suppliers
4. Value streams and processes

An organization ensures their SVS remains balanced and effective by giving each dimension an appropriate amount of focus.



Topic 2: Key Concepts of Service Management

What You Need to Know*Click on the section you would like to review.*

1. Recall the following definitions:

- Service
- Utility
- Warranty
- Customer
- User
- Sponsor
- Service Management

2. Describe the key concepts of creating value with services:

- Cost
- Value
- Organization
- Outcome
- Output
- Risk
- Utility
- Warranty

3. Describe the key concepts of service relationships:

- Service offering
- Service relationship management
- Service provision
- Service consumption

**Key Definitions***Click on the section you would like to review.**Click on each word to view its definition.*

- [Business Relationship Manager \(BRM\)](#)
- [Cost](#)
- [Customer](#)
- [Organization](#)
- [Outcome](#)
- [Output](#)
- [Product](#)
- [Risk](#)
- [Service](#)
- [Service consumption](#)
- [Service management](#)
- [Service offering](#)
- [Service provision](#)
- [Service relationship management](#)
- [Sponsor](#)
- [User](#)
- [Utility](#)
- [Value](#)
- [Warranty](#)

Business Relationship Manager (BRM)

A role responsible for maintaining good relationships with one or more customers.

Lesson Content > Introduction*Click on the section you would like to review.*

It is critical to have a shared understanding of the key concepts and terminology of ITIL to be effective in the use of this guidance by organizations and individuals to address real world service management challenges.

This lesson will cover some of the most important concepts of service management, including:

- the nature of value and value co-creation
- organizations, service providers, service consumers and other stakeholders
- products and services
- service relationships
- value: outcomes, costs and risks

These concepts apply to all services and service relationships, regardless of their nature and the technology used.



Lesson Content > Introduction*Click on the section you would like to review.*

The first thing that must be outlined is the most fundamental concept of all.

**What is 'service management'?**

Service Management is a set of specialized organizational capabilities for enabling value for customers in the form of services.

Developing the specialized organizational capabilities in the definition of service management requires an understanding of:

- the nature of value
- the nature and scope of the stakeholders involved
- how value creation is enabled through services

**Lesson Content > Value and Value Co-creation***Click on the section you would like to review.*

The purpose of an organization is to create **VALUE** for stakeholders.

The term '**value**' is used regularly in service management, and it is a key focus of ITIL 4.

value

Value is the perceived benefits, usefulness and importance of something.



Essential to this definition is the understanding that value is subject to the **perception** of the stakeholders, whether they be the customer or consumer of a service, or part of the service provider organization(s). Value can be subjective.

Lesson Content > Value and Value Co-creation*Click on the section you would like to review.***Value Co-creation**

Organizations who self-identified as '**service providers**' saw their role as delivering value to their customers in much the same way that a package is delivered by a delivery company.

This view treated the relationship between the service provider and the service consumer as mono-directional and distant. The provider delivers the service and the consumer receives value; the consumer plays no role in the creation of value for themselves.

This fails to take into consideration the highly complex and interdependent service relationships that exist in reality.

**Mono-directional**

Lesson Content > Value and Value Co-creation

Click on the section you would like to review.

Value Co-creation

Organizations now recognize that **value** is **co-created** through an active collaboration between providers and consumers, as well as other organizations that are part of the relevant service relationships.

Providers should no longer attempt to work in a vacuum to define what will be of value to their customers and users, but actively seek to establish mutually beneficial, interactive relationships with their consumers, empowering them to be creative collaborators in the service value chain.

Stakeholders across the service value chain contribute to the definition of requirements, design of service solutions and even to service creation and/or provisioning itself.

It is important to outline the various stakeholders who are involved in value co-creation and the language used in ITIL to describe them.



Interactive Relationship

Lesson Content > Organizations, Service Providers, Service Consumers and Other Stakeholders

Click on the section you would like to review.

Organizations

In service management there are many different kinds of stakeholders, each of which must be understood in the context of the creation of value in the form of services.

Organization

A person or a group of people that has its own functions with responsibilities, authorities and relationships to achieve its objectives.

Organizations vary in size and complexity, and in their relation to legal entities, from a single person or a team, to a complex network of legal entities united by common objectives, relationships and authorities.



Lesson Content > Organizations, Service Providers, Service Consumers and Other Stakeholders

Click on the section you would like to review.

Organizations

As societies and economies evolve, the relationships between and within organizations become more complex. Each organization depends on others in its operation and development. Organizations may hold different roles, depending on the perspective.

Example

An organization that coordinates adventure vacations can fill the role of a **SERVICE PROVIDER** to a travel agent when it sells a vacation, while simultaneously filling the role of **SERVICE CONSUMER** when it purchases hang-gliding outings to add to their vacation packages.



Lesson Content > Organizations, Service Providers, Service Consumers and Other Stakeholders

Click on the section you would like to review.

Service Providers



When provisioning services, an organization takes on the role of the service provider. The provider can be external to the consumer's organization, or they can both be part of the same organization.

In traditional views of ITSM, the provider organization is seen as the IT department of a company, and the other departments or other functional units in the company are regarded as the consumers. This is, however, only one very simple provider-consumer model.

A provider could be selling services:

- on the open market to other businesses
- to individual consumers
- collaborating to provide services to consumer organizations as part of a service alliance

The key is that the organization in the provider role has a **clear understanding** of who its consumers are in a given situation and who the other stakeholders are in the associated service relationships.

Organization Provisions Services

ROLE = Service Provider



Lesson Content > Organizations, Service Providers, Service Consumers and Other Stakeholders

Click on the section you would like to review.

Service Consumers



When receiving services, an organization takes on the role of the service consumer.

Service consumer is a generic role that is used to simplify the definition and description of the structure of service relationships. In practice, there are more specific roles involved in service consumption, such as customers, users and sponsors. These roles can be separate or combined.

Organization Receiving Services

ROLE = Service Consumer

Lesson Content > Organizations, Service Providers, Service Consumers and Other Stakeholders

Click on the section you would like to review.

Service Consumers

ROLES OF SERVICE CONSUMER

Customer	Sponsor	User
The role that defines the requirements for a service and takes responsibility for the outcomes of service consumption.	The role that authorizes budget for service consumption.	The role that uses services.

Lesson Content > Organizations, Service Providers, Service Consumers and Other Stakeholders

Click on the section you would like to review.

Service Consumers

Example

If a company wishes to purchase mobile phone services for its employees from a wireless carrier (the service provider), the various consumer roles may be distributed as follows:

- The **chief information officer** and key communications team members fill the **ROLE OF CUSTOMER** when they analyze the mobile communications requirements of the company's employees, negotiate the contract with the wireless carrier and monitor the carrier's performance against the contracted requirements.
- The **chief financial officer** fills the **ROLE OF THE SPONSOR** when they review the proposed service arrangement and approve the cost of the contract as negotiated.
- The **employees** (including the CIO, CFO and communications team members) fill the **ROLE OF USERS** when they order, receive and use the mobile phone services as per the agreed contract.

Example

An **individual private consumer** of the same wireless carrier (a person using the mobile network) simultaneously **acts as a USER, CUSTOMER, SPONSOR**.



Lesson Content > Organizations, Service Providers, Service Consumers and Other Stakeholders

Click on the section you would like to review.

Other Stakeholders

A key focus of service management, and of ITIL, is the way that organizations co-create value with their consumers through service relationships. Beyond the consumer and provider roles, there are usually many other stakeholders that are important to value creation.

Examples of these include:

- individual employees of the provider organization
- partners and suppliers
- investors and shareholders
- government organizations such as regulators, social groups, etc.

For the success, and the continued existence of an organization, it is important that relationships with all key stakeholder groups are understood and managed. If stakeholders are unhappy with what the organization does or how it does it, the provider's relationships with its consumers can be in jeopardy. Products and services create value for stakeholders in a number of ways. Some are quite direct such as the generation of revenue, others more indirect such as employee experience.

Example

[Click here](#) to see examples of stakeholders and their definition of value.

Lesson Content > Products and Services

Click on the section you would like to review.

Introduction

The central component of service management is, of course, the **SERVICE**.



The services that an organization provides are based on one or more of its products. Organizations own or have access to a variety of resources, including:

- People
- Information and technology
- Value streams and processes
- Suppliers and partners

Products are configurations of these resources, created by the organization, that will be potentially valuable for their customers.

SERVICE

A means of enabling value co-creation by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.

PRODUCT

A configuration of an organization's resources designed to offer value for a consumer.

Lesson Content > Products and Services

Click on the section you would like to review.

Products

Each product that an organization offers is created with a number of target consumer groups (either internal or external to the organization) in mind, and the products will be tailored to appeal to, and meet the needs of these groups. A product is **NOT** exclusive to one consumer group, and can be used to address the needs of several different groups.

Products are typically complex and are not fully visible to the consumer. The portion of a product that the consumer actually sees does not always represent all of the components that comprise the product and support its delivery. Organizations define which product components their consumers see, and tailor them to suit their target consumer groups.

Example

A software service can be offered as a lite version, for individual users, or as a more comprehensive corporate version.

Lesson Content > Products and Services

Click on the section you would like to review.

Service Offerings



Service providers present their services to consumers in the form of service offerings, which describe one or more services based on one or more products.

SERVICE OFFERING

A description of one or more services, designed to address the needs of a target consumer group. A service offering may include **GOODS**, **ACCESS TO RESOURCES**, and **SERVICE ACTIONS**.

Example

Click [here](#) to see examples of the different types of service offerings.

- **GOODS**
- **ACCESS TO RESOURCES**
- **SERVICE ACTIONS**

Lesson Content > Products and Services

Click on the section you would like to review.

Service Offerings

Services are offered to target consumer groups, and those groups may be either internal or external to the service provider organization. Different offerings can be created based on the same product, which allows it to be used in multiple ways to address the needs of different consumer groups. For example, a software service can be offered as a limited free version, or as a comprehensive paid-for version, based on one product of the service provider.



What is the difference and which is correct?

Organizations will have their own definitions for product and service terms. The important thing is to adopt a language that will allow the members of the organization to talk together effectively and deliver objectives. The full value chain must be considered, from the ideation and design of a resource configuration, to cooperation with consumers and value realization.

Lesson Content > Service Relationships

[Click on the section you would like to review.](#)

Introduction

To create value, an organization must do **MORE** than provide a service. It must also cooperate with the consumers in service relationships.



Service relationships are established between two or more organizations to co-create value. In a service relationship, organizations will take on the roles of service providers or service consumers. The two roles are not mutually exclusive, and organizations typically both provide and consume a number of services at any given time.

SERVICE RELATIONSHIP

A co-operation between a service provider and service consumer. Service relationships include service provision, service consumption and service relationship management.

Lesson Content > Service Relationships

[Click on the section you would like to review.](#)

Introduction

SERVICE RELATIONSHIP MANAGEMENT

Joint activities performed by a service provider and a service consumer to ensure continual value co-creation based on agreed and available service offerings.

SERVICE PROVISION

Activities performed by an organization to provide services. It includes management of resources, configured to deliver the service, access to these resources for users, fulfilment of the agreed service actions, service performance management, and continual improvement. It may also include the supply of goods.

SERVICE CONSUMPTION

Activities performed by an organization to consume services. Service consumption includes: management of the consumer's resources needed to use the service, service actions performed by users including utilizing the provider's resources, and requesting service actions to be fulfilled.

Lesson Content > Service Relationships

[Click on the section you would like to review.](#)

Let's test your understanding of the definitions you just reviewed on the previous screen.

Match each term on the left with its correct definition on the right. Click on a term and then click on the correct definition.

Service Relationship

Service Provision

Service Consumption

Service Relationship Management

Joint activities performed by a service provider and a service consumer to ensure continual value co-creation based on agreed and available service offerings.

A co-operation between a service provider and service consumer. Service relationships include service provision, service consumption and service relationship management.

Activities performed by an organization to provide services. It includes management of resources, configured to deliver the service, access to these resources for users, fulfilment of the agreed service actions, service performance management, and continual improvement. It may also include the supply of goods.

Activities performed by an organization to consume services. It includes the management of the consumer's resources needed to use the service, service actions performed by users, and the receiving (acquiring) of goods (if required).

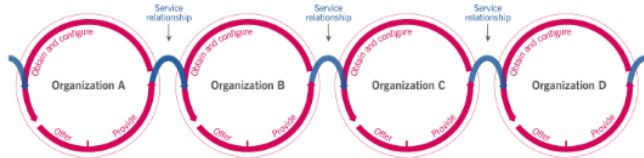
Submit

Lesson Content > Service Relationships

Click on the section you would like to review.

The Service Relationship Model

When services are delivered by the provider, they create new resources for service consumers, or modify their existing ones. The service consumer can use its new or modified resources to create its own products to address the needs of another target consumer group, thus becoming a service provider. These interactions are shown in figure below.



Example

- A training service improves the skills of the consumer's employees
- A broadband service allows the consumer's computers to communicate
- A car hire service enables the consumer's staff to visit clients
- A software development service creates a new application for the service consumer

Lesson Content > Value: Outcomes, Costs and Risks

Click on the section you would like to review.

Introduction

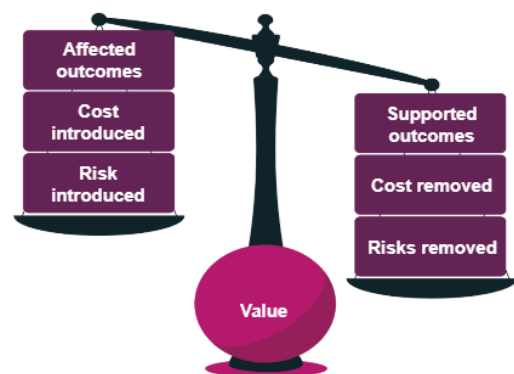
When an organization is in the role of service provider, they need to evaluate **what** their services should do and **how** their services should be provided to meet the needs of consumers.



Achieving desired outcomes requires resources (and therefore costs) and is often associated with risks. Service providers help their consumers to achieve outcomes, and in doing so, take on some of the associated risks and costs. Service relationships can introduce new risks and costs, and in some cases, can negatively affect some of the intended outcomes, while supporting others.

Service relationships are perceived as valuable only when they have more positive effects than negative.

Achieving Value: Outcomes, Costs and Risks



Lesson Content > Value: Outcomes, Costs and Risks

Click on the section you would like to review.

Outcomes

Acting as a service provider, an organization produces **outputs** that help its consumers to achieve certain **outcomes**. It is important to be clear about the difference between outputs and outcomes.

OUTPUT	OUTCOME
A tangible or intangible deliverable of an activity.	A result for a stakeholder enabled by one or more outputs.

Example

One output of a wedding photography service may be an album in which selected photos are artfully arranged. The outcome of the service, however, is the preservation of precious memories and the ability of the couple and their family and friends to easily recall those memories by looking at the album.



Lesson Content > Value: Outcomes, Costs and Risks*Click on the section you would like to review.***Outcomes**

Depending on the relationship between the provider and the consumer, it can be difficult for the provider to fully understand the outcomes the consumer wants to achieve.

Case #1

Work together to define outcome. For example, business relationship managers in internal IT or HR departments may regularly talk with customers and discuss their needs and expectations.

Case #2

The consumers articulate their expectations quite clearly, and the provider expects them to do so, such as when standardized services are offered to a wide consumer group. This is how mobile operators, broadband service providers and transport companies usually operate.

Case #3

Some service providers predict or even create demand for certain outcomes, forming an audience for their services. This may happen with innovative services addressing needs that consumers were not even aware of before. Examples of this include social networks or smart home solutions.

Lesson Content > Value: Outcomes, Costs and Risks*Click on the section you would like to review.***Costs**

From the service consumer's perspective, there are two types of costs involved in service relationships:

Type #1

Costs removed from the consumer by the service (a part of the value proposition). This may include costs of staff, technology and other resources, which the consumer does not need to provide.

Type #2

Costs imposed on the consumer by the service (the costs of service consumption). The total cost of consuming a service includes the price charged by the service provider (if applicable), plus other costs such as staff training, costs of network utilization, procurement, etc. Some consumers describe this as what they have to 'invest' to consume the service.

COST

The amount of money spent on a specific activity or resource.

Costs can be expressed in non-monetary terms, such as time spent, people allocated, etc.

To ensure that the correct decisions are made about the service relationship it is important that both types of costs are fully understood. Providers need to ensure that services are delivered within budget constraints and meet the financial expectations of the organization.

Lesson Content > Value: Outcomes, Costs and Risks*Click on the section you would like to review.***Risks**

As with costs, there are two types of risks that are of concern to service consumers:

Type #1

Risks removed from a consumer by the service (part of the value proposition). These may include failure of the consumer's server hardware or lack of staff availability. In some cases, a service may only reduce a consumer's risks, but the consumer may determine that this reduction is sufficient to support the value proposition.

Type #2

Risks imposed on a consumer by the service (risks of service consumption). An example of this would be a service provider ceasing trading, or experiencing a security breach.

RISK

A possible event that could cause harm or loss, or make it more difficult to achieve objectives. Risk can also be defined as uncertainty of outcome, and can be used in the context of measuring the probability of positive outcomes as well as negative outcomes.

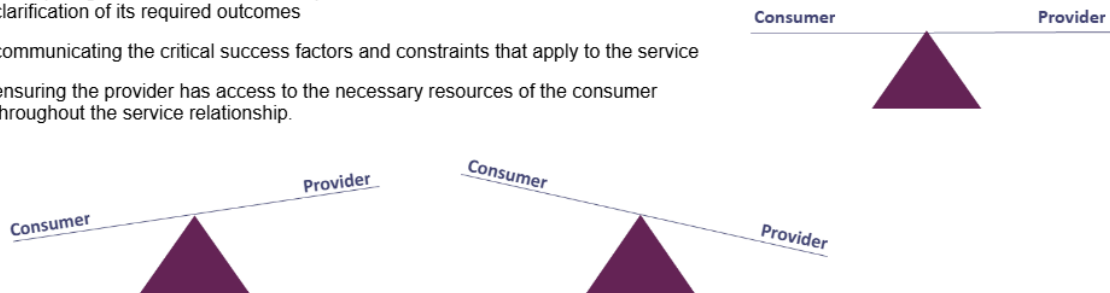
Lesson Content > Value: Outcomes, Costs and Risks

Click on the section you would like to review.

Risks

The provider is responsible to manage the detailed level of risk on behalf of the consumer. This should be handled based on a balance of what matters most to the consumer and to the provider. The consumer contributes to the reduction of risk through:

- participating in the definition of the requirements of the service and the clarification of its required outcomes
- communicating the critical success factors and constraints that apply to the service
- ensuring the provider has access to the necessary resources of the consumer throughout the service relationship.



Lesson Content > Value: Outcomes, Costs and Risks

Click on the section you would like to review.

Utility and Warranty

Utility

Summarized as '**what the service does**' and can be used to determine whether a service is '**fit for purpose**'. To have utility, a service must either support the performance of the consumer or remove constraints from the consumer. Many services do both.

UTILITY

The functionality offered by a product or service to meet a particular need.

Warranty

Summarized as '**how the service performs**' and can be used to determine whether a service is '**fit for use**'. Warranty often relates to service levels aligned with the needs of service consumers. This may be based on a formal agreement, or it may be a marketing message or brand image. Warranty typically addresses such areas as:

- the availability of the service
- its capacity
- levels of security
- continuity

WARRANTY

Assurance that a product or service will meet agreed requirements.

The assessment of a service must take into consideration the impact of costs and risks on utility and warranty to generate a complete picture of the viability of a service.

Lesson Content > Value: Outcomes, Costs and Risks

Click on the section you would like to review.

Utility and Warranty

Both utility and warranty are essential for a service to facilitate its desired outcomes and therefore help create value.

Example

Utility

A recreational theme park may offer many exciting rides designed to deliver thrilling experiences for park visitors (**utility**) but if a significant number of the rides are frequently unavailable due to mechanical difficulties, the park is not fulfilling the **warranty** (it is not fit for use) and the consumers will not receive their expected value. Likewise, if the rides are always up and running during advertised hours, but they do not have features that provide the levels of excitement expected by visitors, although the warranty is sufficient, the utility is not. Again, consumers would not receive the expected value.



Lesson Content > Summary*Click on the section you would like to review.*

This lesson has covered the key concepts for the following:



These concepts will be built upon over the next few topics, and guidance will be provided on applying them in practical and flexible ways.

Topic 3: Guiding Principles

What You Need to Know*Click on the section you would like to review.*

1. Describe the nature, use and interaction of the guiding principles
2. Explain the use of the guiding principles:
 - Focus on value
 - Start where you are
 - Progress iteratively with feedback
 - Collaborate and promote visibility
 - Think and work holistically
 - Keep it simple and practical
 - Optimize and automate



Key Definitions

Click on the section you would like to review.

Click on each word to view its definition.

- [Agile](#)
- [Deployment](#)
- [DevOps](#)
- [Effectiveness](#)
- [Efficiency](#)
- [Engage](#)
- [Environment](#)
- [Failure](#)
- [Improve](#)
- [ITIL Guiding Principles](#)
- [Kanban](#)
- [Lean](#)
- [Metric](#)
- [Model](#)
- [Monitoring](#)
- [Operation](#)
- [Performance](#)
- [Policy](#)
- [Quick Win](#)

Agile

An umbrella term for a collection of frameworks and techniques that together enable teams and individuals to work in a way that is typified by collaboration, prioritization, iterative and incremental delivery, and timeboxing. There are several specific methods (or frameworks) that are classed as Agile, such as Scrum, Lean, and Kanban.

- **Agile:** An umbrella term for a collection of frameworks and techniques that together enable teams and individuals to work in a way that is typified by collaboration, prioritization, iterative and incremental delivery, and timeboxing. There are several specific methods (or frameworks) that are classed as Agile, such as Scrum, Lean, and Kanban.
- **Deployment:** The movement of any service component into any environment.
- **DevOps:** An organizational culture that aims to improve the flow of value to customers. DevOps focuses on culture, automation, Lean, measurement, and sharing (CALMS).
- **Effectiveness:** A measure of whether the objectives of a practice, service or activity have been achieved.
- **Efficiency:** A measure of whether the right amount of resources have been used by a practice, service, or activity.
- **Engage:** The value chain activity that provides a good understanding of stakeholder needs, transparency, continual engagement, and good relationships with all stakeholders.
- **Environment:** A subset of the IT infrastructure that is used for a particular purpose, for example a live environment or test environment. Can also mean the external conditions that influence or affect something.
- **Failure:** A loss of ability to operate to specification, or to deliver the required output or outcome.

- **Improve:** The value chain activity that ensures continual improvement of products, services, and practices across all value chain activities and the four dimensions of service management.
- **ITIL guiding principles:** Recommendations that can guide an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure.
- **Kanban:** A method for visualizing work, identifying potential blockages and resource conflicts, and managing work in progress.
- **Lean:** An approach that focuses on improving workflows by maximizing value through the elimination of waste.
- **Metric:** A measurement or calculation that is monitored or reported for management and improvement.
- **Model:** A representation of a system, practice, process, service, or other entity that is used to understand and predict its behaviour and relationships.
- **Monitoring:** Repeated observation of a system, practice, process, service, or other entity to detect events and to ensure that the current status is known.
- **Operation:** The routine running and management of an activity, product, service, or other configuration item.
- **Performance:** A measure of what is achieved or delivered by a system, person, team, practice, or service.
- **Policy:** Formally documented management expectations and intentions, used to direct decisions and activities.
- **Quick Win:** An improvement that is expected to provide a return on investment in a short period of time with relatively small cost and effort.

Lesson Content > Overview of ITIL Guiding Principles

Click on the section you would like to review.

The ITIL Guiding Principles



A guiding principle is a recommendation that guides an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure. A guiding principle is universal and enduring.

The guiding principles embody the core messages of ITIL, and of service management in general, supporting successful actions and good decisions of all types and at all levels. They can be used to guide organizations in their work as they adopt a service management approach and adapt ITIL guidance to their own specific needs and circumstances. The guiding principles encourage and support organizations in continual improvement at all levels.

These principles are also reflected in many other frameworks, methods, standards, philosophies and/or bodies of knowledge, such as Lean, Agile, DevOps and COBIT. This allows organizations to effectively integrate the use of multiple methods into an overall approach to service management.

The guiding principles are universally applicable to nearly any initiative and to relationships with all stakeholder groups.

Example

The first principle, **focus on value**, can and should be applied to all relevant stakeholders and respective definitions of value, not only to service consumers.

Overview of Guiding Principles

Lesson Content > Overview of ITIL Guiding Principles

Click on the section you would like to review.

OVERVIEW OF THE GUIDING PRINCIPLES

GUIDING PRINCIPLES	DESCRIPTION
Focus on value	Everything that the organization does needs to map, directly or indirectly, to value for the stakeholders. The focus on value principle encompasses many perspectives, including the experience of customers and users.
Start where you are	Do not start from scratch and build something new without considering what is already available to be leveraged. There is likely to be a great deal in the current services, processes, programmes, projects, and people that can be used to create the desired outcome. The current state should be investigated and observed directly to make sure it is fully understood.
Progress iteratively with feedback	Do not attempt to do everything at once. Even huge initiatives must be accomplished iteratively. By organizing work into smaller, manageable sections that can be executed and completed in a timely manner, it is easier to maintain a sharper focus on each effort. Using feedback before, throughout, and after each iteration will ensure that actions are focused and appropriate, even if circumstances change.
Collaborate and promote visibility	Working together across boundaries produces results that have greater buy-in, more relevance to objectives, and increased likelihood of long-term success. Achieving

Scroll to view more.

Lesson Content > Overview of ITIL Guiding Principles

Click on the section you would like to review.

OVERVIEW OF THE GUIDING PRINCIPLES		X
	objectives requires information, understanding, and trust. Work and consequences should be made visible, hidden agendas avoided, and information shared to the greatest degree possible.	
Think and work holistically	No service, or element used to provide a service, stands alone. The outcomes achieved by the service provider and service consumer will suffer unless the organization works on the service as a whole, not just on its parts. Results are delivered to internal and external customers through the effective and efficient management and dynamic integration of information, technology, organization, people, practices, partners, and agreements, which should all be coordinated to provide a defined value.	
Keep it simple and practical	If a process, service, action or metric fails to provide value or produce a useful outcome, eliminate it. In a process or procedure, use the minimum number of steps necessary to accomplish the objective(s). Always use outcome-based thinking to produce practical solutions that deliver results.	
Optimize and automate	Resources of all types, particularly HR, should be used to their best effect. Eliminate anything that is truly wasteful and use technology to achieve whatever it is capable of. Human intervention should only happen where it really contributes value.	

Scroll to view more.

Lesson Content > Overview of ITIL Guiding Principles

Click on the section you would like to review.

ITIL, Agile and DevOps

Agile is a methodology that focuses on delivery and evolution of requirements from small teams. It is a timeboxed, flexible and adaptive approach to IT work that allows for a rapid response to change. Agile gives development teams autonomy and allows them to self organize, and promotes collaboration between customers, users and development teams.

For Agile ways to be effective and produce regular releases, basic organizational capabilities need to be established. The focus of Agile alone tends to be on delivering more features and fixes, rather than improving the service. Running Agile **WITHOUT** ITIL in place can result in higher costs over time, less accurate time estimations and a lower quality of service delivery. It can result in over-engineered projects that have been built iteratively with no consideration for the overall service.

Agile teams can work more effectively to enable faster and more stable deployment to live. Organizations can see a reduced ongoing cost of the service as well as better co-ordination between agile projects and other areas of the service/business that might not work with Agile methods. There is a greater focus on delivering best value and being effective and efficient within the context of the wider service.

Agile shares common themes with ITIL and aligns well with each other. Together they can support each other to produce highly effective practices, such as continual improvement, problem management, change enablement, release management, and deployment management.

Agile & ITIL Compared

Lesson Content > Overview of ITIL Guiding Principles

Click on the section you would like to review.

AGILE AND ITIL PRINCIPLES COMPARED		X
AGILE MANIFESTO	ITIL GUIDING PRINCIPLE	
Individuals and interactions over processes and tools	Keep it simple and practical	
	Start where you are	
Working software over comprehensive documentation	Focus on value	
	Think and work holistically	
Customer collaboration over contract negotiation	Focus on value	
	Collaborate and promote visibility	
Responding to change over following a plan	Progress iteratively with feedback	
	Keep it simple and practical	

Lesson Content > Overview of ITIL Guiding Principles*Click on the section you would like to review.***ITIL, Agile and DevOps**

DevOps arose from the increasing success of Agile software projects that led organizations to release more frequently.

DevOps centers on the process of delivering software to live environments, with a focus on unifying technical operations and delivery. Anyone with the responsibility for change enablement, release management and service operations should be a part of the Agile team to ensure that the team work effectively together.

When ITIL and Agile combine, the whole service team needs to be involved throughout the Agile development process. Communication methods favored by Agile development teams should be embraced, and communication needs to be made a priority for everyone involved across the service lifecycle.

Agile roles within teams can be multi purpose and aligned to service management roles, for example:

- Product managers/owners can perform the role of the service owner.
- Scrum masters can perform the role of the change manager.
- Scrum masters are already running retrospectives and ensuring lessons are learned, which can form a part of the wider continual improvement practice.

An Agile team that focuses on customer needs and satisfaction through the lens of the overall service will deliver greater value in a shorter amount of time.

Lesson Content > Overview of ITIL Guiding Principles*Click on the section you would like to review.***Principle Interaction**

As well as being aware of the ITIL guiding principles, it is also important to recognize that they interact with and depend upon each other.

For example, if an organization is committed to progressing iteratively with feedback, it should also think and work holistically to ensure that each iteration of an improvement includes all the elements necessary to deliver real results. Similarly, making use of appropriate feedback is key to collaboration, and focusing on what will truly be valuable to the customer makes it easier to keep things simple and practical.

Organizations should not use just one or two of the principles, but should consider the relevance of each of them and how they apply together. Not all principles will be critical in every situation, but they should all be reviewed on each occasion to determine how appropriate they are.

Lesson Content > Focus on Value*Click on the section you would like to review.*

Everything the organization does, should link back, directly or indirectly, to value for itself, its customers and other stakeholders.

Who is the service consumer

The consumers perspective of value

The customer experience

Applying the principles

*Click on each tab to read more on the **Focus of Value** principle.*

Lesson Content > Start Where You Are

Click on the section you would like to review.



By eliminating old, unsuccessful methods/services and creating something better, there is temptation to remove what has been done in the past and build something new. This is rarely necessary, or a wise decision. This is wasteful, in terms of time, and in terms of the loss of existing services, processes, people, and tools that could have significant value in the improvement effort. Don't start over without first considering what is already available to be leveraged.

Assess where you are

The role of measurement

Applying the principle

Click on each tab to read more on the **Start Where You Are** principle.

Lesson Content > Progress Iteratively with Feedback

Click on the section you would like to review.



Resist the temptation to do everything at once. Even huge initiatives must be accomplished iteratively. By organizing work into smaller, manageable sections that can be executed and completed in a timely manner, the focus on each effort will be sharper and easier to maintain.

Improvement iterations can be sequential or simultaneous, based on the requirements of the improvement and what resources are available. Each individual iteration should be both manageable and managed, ensuring that tangible results are returned in a timely manner and built upon to create further improvement.

A major improvement initiative or program may be organized into several significant improvement initiatives, and each of these may, in turn, comprise smaller improvement efforts. The overall initiative or program, as well as its component iterations, must be continually re-evaluated and potentially revised to reflect any changes in circumstances and ensure that the focus on value has not been lost. This re-evaluation should make use of a wide range of feedback channels and methods to ensure that the status of the initiative and its progress are properly understood.



Lesson Content > Progress Iteratively with Feedback

Click on the section you would like to review.

The role of feedback

Iteration and feedback together

Applying the principle

Click on each tab to read more on the **Progress Iteratively with Feedback** principle.

Lesson Content > Collaborate and Promote Visibility

Click on the section you would like to review.



When initiatives involve the right people in the correct roles, efforts benefit from better buy-in, more relevance (because better information is available for decision-making) and increased likelihood of long-term success.

Creative solutions, enthusiastic contributions and important perspectives can be obtained from unexpected sources, so inclusion is generally a better policy than exclusion. Cooperation and collaboration are better than isolated work, which is frequently referred to as 'silo activity'. Silos typically happen where functions or business units in an organization are impeded or unable to collaborate, because their processes, systems, documentation, and communications are designed to fulfil the needs of only a specific part of the organization. Applying the guiding principle of **think and work holistically** can help organizations to break down barriers between silos of work.

Working together in a way that leads to real accomplishment requires information, understanding and trust. Work and its results should be made visible, hidden agendas should be avoided and information should be shared to the greatest degree possible.

When improvement activity occurs in silence, or with a small group aware of the details and assumptions, rumors can prevail. Resistance to change will rise as staff members speculate about what is changing and how it might impact them.

Lesson Content > Collaborate and Promote Visibility

Click on the section you would like to review.

Whom to collaborate with

Communication for improvement

Increasing urgency through visibility

Applying the principles

*Click on each tab to read more on the **Collaborate and Promote Visibility** principle.*

Lesson Content > Think and Work Holistically

Click on the section you would like to review.



No service, practice, process, department or supplier stands alone. The outputs that the organization delivers to itself, customers and other stakeholders will suffer unless it works in an integrated way to handle its activities as whole, rather than as separate parts. All the organization's activities should be focused on the delivery of value.

Services are delivered to internal and external service consumers through the coordination and integration of the four dimensions of service management.

Taking a holistic approach to service management includes establishing an understanding of how all the parts of an organization work together in an integrated way. It requires end-to-end visibility of how demand is captured and translated into outcomes.

In a complex system, the alteration of one element can impact others and, where possible, these impacts need to be identified, analyzed and planned for.

Lesson Content > Think and Work Holistically

Click on the section you would like to review.

Applying the principle

To apply this principle successfully, consider this advice:

- **Recognize the complexity of the systems** Different levels of complexity require different heuristics for decision-making. Applying methods and rules designed for a simple system can be ineffective or even harmful in a complex system, where relationships between components are complicated and change more frequently.
- **Collaboration is key to thinking and working holistically** If the right mechanisms are put in place for all relevant stakeholders to collaborate in a timely manner, it will be possible to address any issue holistically without being unduly delayed.
- **Where possible, look for patterns in the needs of and interactions between system elements** Draw on knowledge in each area to identify what is essential for success, and which relationships between elements influence the outcomes. With this information, needs can be anticipated, standards can be set and a holistic view point can be achieved.
- **Automation can facilitate working holistically** Where the opportunity and sufficient resources are available, automation can support end-to-end visibility for the organization and provide an efficient means of integrated management.

Lesson Content > Keep It Simple and Practical

Click on the section you would like to review.



Always use the minimum number of steps needed to accomplish an objective. Outcome-based thinking should be used to produce practical solutions that deliver valuable outcomes. If a process, service, action or metric provides no value or produces no useful outcome, then eliminate it. This principle is frequently ignored, resulting in overly complex work methods that rarely maximize outcomes or minimize cost.

Trying to provide a solution for every exception will often lead to over-complication. When creating a process or a service, designers need to think about exceptions, but they cannot cover them all. Instead, rules should be designed that can be used to handle exceptions generally.

Judging what to keep

Conflicting objectives

Applying the principle

Click on each tab to read more on the **Keep it Simple and Practical** principle.

Lesson Content > Optimize and Automate

Click on the section you would like to review.



Organizations must maximize the value of the work carried out by its human and technical resources. The four dimensions model provides a holistic view of the various constraints, resource types, and other areas that should be considered when designing, managing, or operating an organization. Technology can help organizations to scale up, and take on frequent and repetitive tasks, allowing human resources to be used for more complex decision-making. However, technology should not always be relied upon without the capability of human intervention, as automation for automation's sake can increase costs and reduce organizational robustness and resilience.

Optimization means to make something as effective and useful as it needs to be. Before an activity can be effectively automated, it should be optimized to whatever degree is possible and reasonable. It is essential that limits are set on the optimization of services and practices, as they exist within a set of constraints which may include financial limitations, compliance requirements, time constraints and resource availability.



Lesson Content > Optimize and Automate

Click on the section you would like to review.

The road to optimization

Using automation

Applying the principle

Click on each tab to read more on the **Optimize and Automate** principle.

Topic 4: The Four Dimensions of Service Management

What You Need to Know

Click on the section you would like to review.

1. Understand and describe the Four Dimensions of Service Management

- Organizations and people
- Information and technology
- Partners and suppliers
- Value streams and processes



Key Definitions

Click on the section you would like to review.

Click on each word to view its definition.

- [Availability](#)
- [Cloud Computing](#)
- [Continual Improvement Practice](#)
- [Culture](#)
- [Deployment](#)
- [DevOps](#)
- [Information and Technology](#)
- [Operation](#)
- [Organization](#)
- [Organizations and People](#)
- [Output](#)
- [Partners and Suppliers](#)
- [Practice](#)
- [Procedure](#)
- [Product](#)
- [Reliability](#)
- [Resource](#)
- [Risk](#)
- [Service Consumption](#)
- [Service Continuity](#)
- [Management Practices](#)
- [Service Management](#)
- [Service Provider](#)
- [Stakeholder](#)
- [Values Streams and Processes](#)

Availability

The ability of an IT service or other configuration item to perform its agreed function when required.

- **Availability:** The ability of an IT service or other configuration item to perform its agreed function when required.
- **Cloud Computing:** A model for enabling on-demand network access to a shared pool of configurable computing resources that can be rapidly provided with minimal management effort or provider interaction.
- **Continual Improvement Practice:** The practice of aligning an organization's practices and services with changing business needs through the ongoing identification and improvement of all elements involved in the effective management of products and services.
- **Culture:** A set of values that is shared by a group of people, including expectations about how people should behave, ideas, beliefs, and practices.
- **Deployment**
- **DevOps**
- **Information and Technology:** One of the four dimensions of service management. It includes the information and knowledge used to deliver services, and the information and technologies used to manage all aspects of the service value system.
- **Operation:** The routine running and management of an activity, product, service, or other configuration item.
- **Organization**

- **Organizations and People:** One of the four dimensions of service management. It ensures that the way an organization is structured and managed, as well as its roles, responsibilities, and systems of authority and communication, is well defined and supports its overall strategy and operating model.
- **Output**
- **Partners and Suppliers:** One of the four dimensions of service management. It encompasses the relationships an organization has with other organizations that are involved in the design, development, deployment, delivery, support, and/or continual improvement of services.
- **Practice:** A set of organizational resources designed for performing work or accomplishing an objective.
- **Procedure:** A documented way to carry out an activity or a process.
- **Product:** A configuration of an organization's resources designed to offer value for a consumer.
- **Reliability:** The ability of a product, service, or other configuration item to perform its intended function for a specified period of time or number of cycles.
- **Resource:** Personnel, material, finance or other entity that is required for the execution of an activity or the achievement of an objective. Resources used by an organization may be owned by the organization or used according to an agreement with the resource owner.
- **Risk:** A possible event that could cause harm or loss, or make it more difficult to achieve objectives. Can also be defined as uncertainty of outcome, and can be used in the context of measuring the probability of positive outcomes as well as negative outcomes.
- **Service Consumption:** Activities performed by an organization to consume services. It includes the management of the consumer's resources needed to use the service, service actions performed by users, and the receiving (acquiring) of goods (if required).
- **Service Continuity Management Practices:** The practice of ensuring that service availability and performance are maintained at a sufficient level in the event of a disaster.

- Service Management: A set of specialized organizational capabilities for enabling value for customers in the form of services.
- Service Provider
- Stakeholder: A person or organization that has an interest or involvement in an organization, product, service, practice, or other entity.
- Values Streams and Processes: One of the four dimensions of service management. It defines the activities, workflows, controls, and procedures needed to achieve the agreed objectives.
-



Lesson Content > Introduction

Click on the section you would like to review.

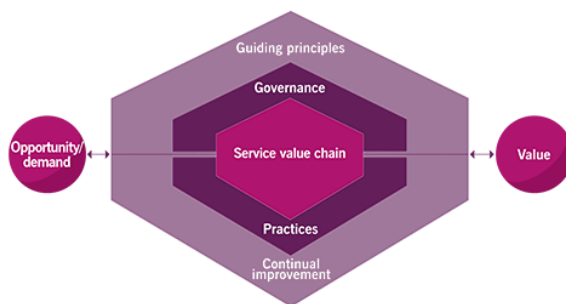
The **four dimensions of service management** are relevant to, and impact upon, all elements of the Service Value System.

To achieve their desired outcomes and work as effectively as possible, organizations should consider **ALL** aspects of their behavior. In practice, organizations will often become too focused on one area of their initiatives and neglect the others.

Example

Process improvements may be planned without proper consideration for the people, partners, and technology involved, or technology solutions can be implemented without attention to the processes or people they are supposed to support. There are multiple aspects to service management, and none of these are sufficient to produce the required outcomes when considered in isolation.

Service Value System (SVS)



Lesson Content > Introduction

Click on the section you would like to review.

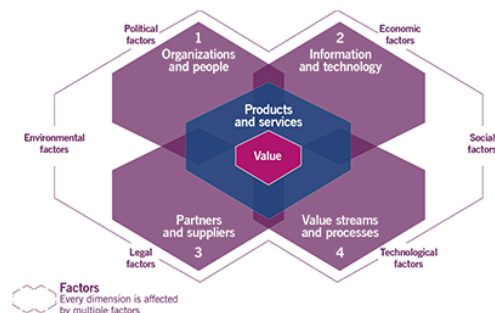


To support a holistic approach to service management, ITIL defines **four dimensions** of service management that collectively are **critical** to the effective and efficient facilitation of value for customers and other stakeholders in the form of products and services. These are:

1. Organizations and people
2. Information and technology
3. Partners and suppliers
4. Value streams and processes

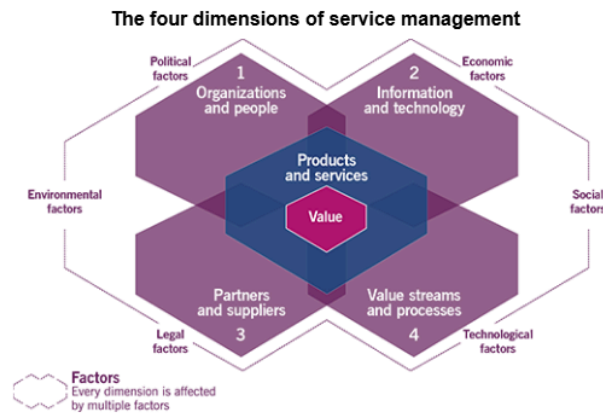
These four dimensions represent perspectives which are relevant to the whole SVS, including the entirety of the service value chain and all practices. The four dimensions are constrained, or influenced, by several external factors that are often beyond the control of the SVS.

The four dimensions of service management



Lesson Content > Introduction*Click on the section you would like to review.*

The four dimensions, and the relationships between them, are represented in the image below.

**Lesson Content > Introduction***Click on the section you would like to review.*

If all four dimensions are not handled properly, it may result in services:

- becoming undeliverable,
- not meeting expectations of quality or efficiency

Example

Failing to holistically consider the value stream and processes dimension can lead to wasteful work, duplication of efforts, or worse, work that conflicts with what is being done elsewhere in the organization. Equally, ignoring the partners and suppliers dimension could mean that outsourced services are misaligned with the needs of the organization.

The four dimensions do **NOT** have sharp boundaries and may overlap. They will sometimes interact in unpredictable ways, depending on the level of complexity and uncertainty in which an organization operates.

The four dimensions of service management apply to all services being managed, as well as to the SVS in general. It is therefore essential that these perspectives be considered for every service, and that each one should be addressed when managing and improving the SVS at all levels.

CONFLICTS

Lesson Content > Organizations and People

Click on the section you would like to review.

First Dimension

The first dimension of service management is **organizations and people**.

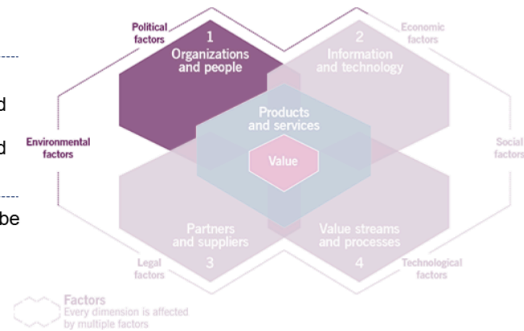


The complexity of organizations is growing, and it is important to ensure that the way an organization is structured and managed, as well as its roles, responsibilities and systems of authority and communication are well-defined and support its overall strategy and operating model.

When looking at this dimension in relation to the SVS, the **focus** should be on the context of the organization acting as a service provider.

The organizations and people dimension of a service covers:

- roles and responsibilities
- formal organizational structures
- culture
- required staffing and competences



Lesson Content > Organizations and People

Click on the section you would like to review.

First Dimension

Click on each tab below to read more.

Organizations

People

The effectiveness of an organization cannot be assured only by a formally established structure or system of authority.

The organization also needs:

- a culture that supports its objectives
- the right level of capacity and competence among its workforce
- leaders of the organization champion and advocate values that motivate people to work in desirable ways
- the way in which an organization carries out its work that creates shared values and attitudes

It is useful to promote a culture of **trust** and **transparency** in an organization that encourages its members to raise and escalate issues and facilitate corrective actions before any issues have an impact on customers.

Adopting the ITIL guiding principles can be a good starting point for establishing a healthy organizational culture.

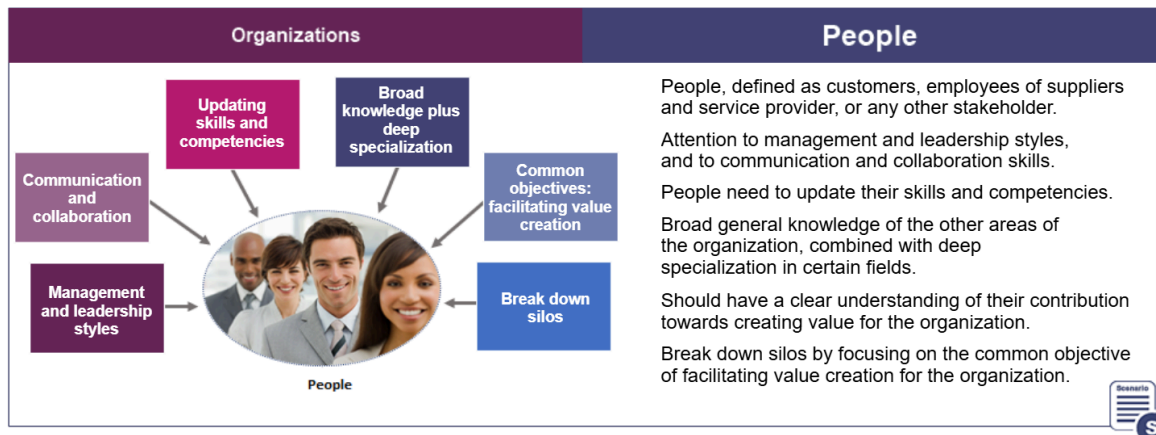


Lesson Content > Organizations and People

Click on the section you would like to review.

First Dimension

Click on each tab below to read more.



Lesson Content > Information and Technology

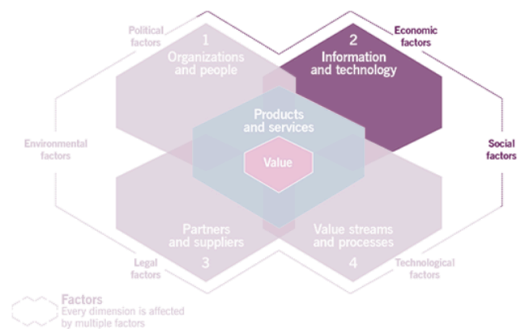
Click on the section you would like to review.

Second Dimension

The second dimension of service management is **information and technology**. As with the other three dimensions, information and technology applies both to service management and to the services being managed.



When applied to the SVS, the information and technology dimension includes the information and knowledge necessary for the management of services, as well as the technologies required. It also incorporates the relationships between different components of the SVS, such as the inputs and outputs of activities and practices.



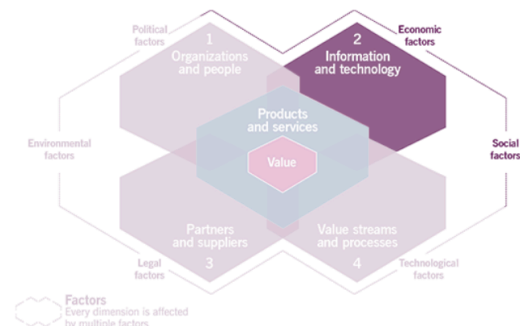
Lesson Content > Information and Technology

Click on the section you would like to review.

Second Dimension

There are two categories of technologies:

Technologies supporting service management		Technologies supporting IT services	
Workflow management	Knowledge base	IT architecture	Applications
Communication systems	Analytical tools	Databases	Communication systems
Inventory systems	Remote collaboration	Blockchain	Artificial Intelligence
Mobile platforms	Artificial Intelligence	Cognitive computing	Cloud computing
Cloud solutions	Machine learning	Mobile applications	



There is cross over for both of these categories. Technology is needed to deliver the services to co-create value and technology is needed to support the services and to manage the services within the organization.

Lesson Content > Information and Technology

Click on the section you would like to review.

Second Dimension

For many services, information management is the primary means of enabling customer value. Service management increasingly benefits from technology development and are used at all levels, from strategic planning and portfolio optimization, to system monitoring and user support.

For a specific IT service, this dimension includes:

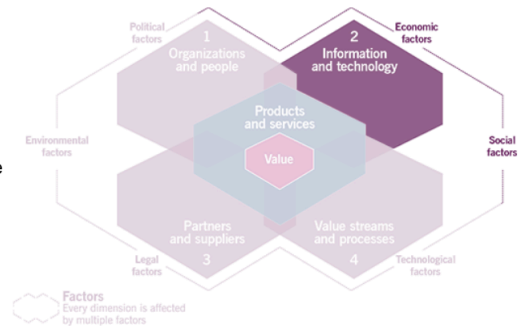
- the information created, managed and used in the course of service provision and consumption
- the technologies that support and enable that service

The specific information and technologies depend on the nature of the services being provided and usually cover all levels of IT architecture, including:

- applications
- databases
- communication systems and their integrations

IT services are using the latest technology developments, such as:

- blockchain
- artificial intelligence
- cognitive computing



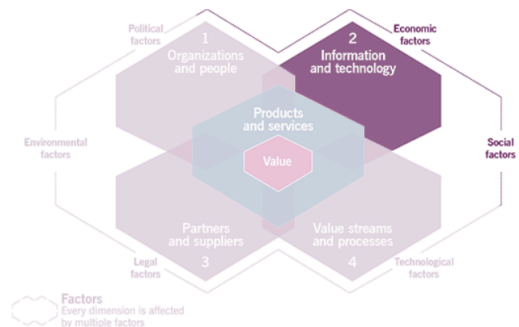
Lesson Content > Information and Technology

Click on the section you would like to review.

Second Dimension

In relation to the information component of this dimension, organizations should consider:

- 1. What information is managed by the services?
- 2. What supporting information and knowledge is needed to deliver and manage the services?
- 3. How will the information and knowledge assets be protected, managed, archived and disposed of?



Lesson Content > Information and Technology

Click on the section you would like to review.

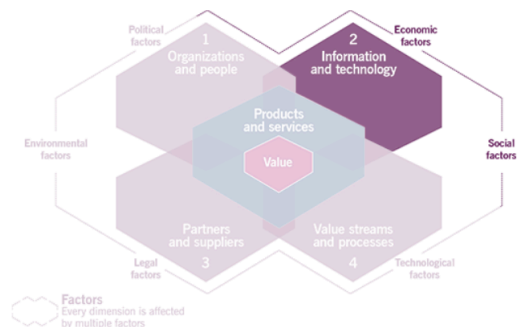
Second Dimension

For many services, **information management** is the primary means of delivering customer value.

Example

1. An HR service facilitates value creation for its customers by enabling the organization to access and maintain accurate information about its employees, their employment and their benefits, without exposure of private information to unauthorized parties.
2. A network management service facilitates value creation for its users by maintaining and providing accurate information about an organization's active network connections and utilization, allowing it to adjust its network bandwidth capacity.

Information is generally the key output of the majority of IT services which are consumed by business customers.



Lesson Content > Information and Technology

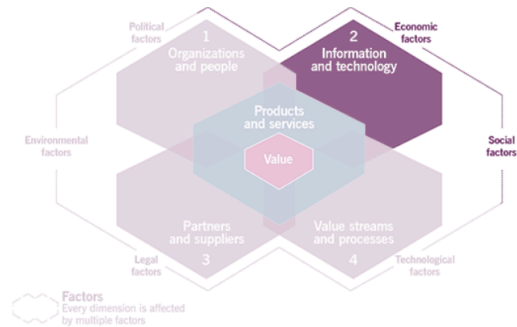
Click on the section you would like to review.

Second Dimension

Another key consideration in this dimension is **how information is exchanged** between different services and service components.

The information architecture of the various services should be well-understood and continually optimized for users and exchanged between services. The following criteria should be considered:

- availability
- reliability
- accessibility
- timeliness
- accuracy
- relevance



Lesson Content > Information and Technology

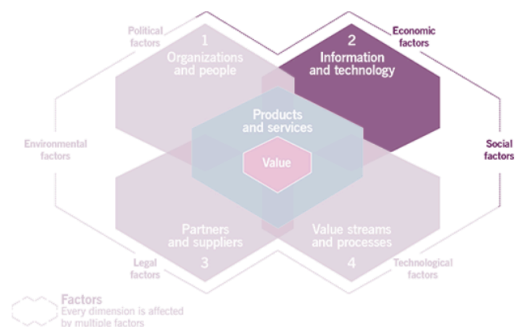
Click on the section you would like to review.

Second Dimension

The **challenges of information management**, such as those presented by security and regulatory compliance requirements, is also a focus of this dimension.

Example

An organization may be subject to the European Union's General Data Protection Regulation (GDPR), which influences its information management policies and practices. Other industries or countries can have regulations that impose constraints on the collection and management of data of multinational corporations. For example, in the US the Health Insurance Portability and Accountability Act of 1996 provides data privacy and security provisions for safeguarding medical information collected in the US.



Lesson Content > Information and Technology

Click on the section you would like to review.

Second Dimension

Most services are based on information technology, and are heavily dependent on it. When considering a technology for use in the planning, design, transition, or operation of a product or service, questions an organization can ask may include:

INFORMATION TECHNOLOGY CONSIDERATIONS			
?	Is it compatible with the current architecture of the organization and its customer(s)? Do the different technology products used by the organization and its stakeholders work together? How are emerging technologies likely to disrupt the service or the organization?	✓	Does the organization have the right skills across its staff and suppliers to support and maintain it?
	Does it raise any regulatory or other compliance or information security controls?	✓	Does it have sufficient automation capabilities to be developed, deployed and operated?
	Will it continue to be viable in the foreseeable future? Is the organization willing to accept the risk of using aging technology, or embracing emerging/unproven technology?	✓	Does it offer additional capabilities that might be leveraged for other products or services?
	Does it align with the strategy of the service provider, or service consumer strategy?	✓	Does it introduce new risks/constraints to the organization (example: locking it into a specific vendor)?

Lesson Content > Information and Technology

Click on the section you would like to review.

Second Dimension

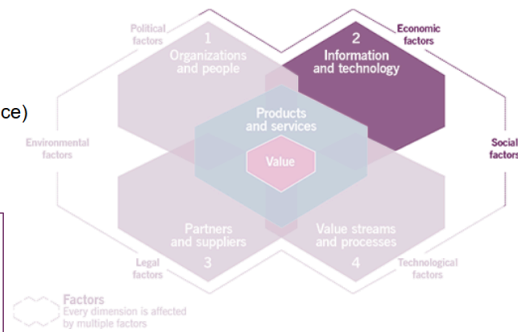
The **culture of an organization** may have a significant impact on the technologies it chooses to use.

- Some organizations will have more of an interest in being on the cutting edge of technological advances (example: artificial intelligence)
- Other organizations may be focused on a more traditional way of working (example: basic data analysis tools)

The nature of the business will also affect the technology it makes use of.

Example

1. A company that does significant business with government clients may have restrictions on the use of some technologies, or have significantly higher security concerns that must be addressed.
2. Other industries, such as finance, or life sciences, are also subject to restrictions around their use of technology. For example, they usually cannot use open source and public services when dealing with sensitive data.



Lesson Content > Information and Technology

Click on the section you would like to review.

Second Dimension

ITSM in the modern world: **cloud computing**

IT service management has been focusing on value for users and customers for years, and this focus is usually technology-agnostic: what matters is not the technology, but the opportunities it creates for the customers. For the most part this is a perfectly acceptable approach, organizations cannot ignore new architectural solutions and the evolution of technology in general. Cloud computing has become an architectural shift in IT, introducing new opportunities and risks, and organizations have had to react to it in ways that are most beneficial for themselves, their customers and other stakeholders.

Key characteristics of cloud computing include:

- on-demand availability (often self-service)
- network access (often internet access)
- resource pooling (often among multiple organizations)
- rapid elasticity (often automatic)
- measured service (often from service consumer's perspective)

Cloud Computing

A model for enabling on-demand network access to a shared pool of configurable computing resources that can be rapidly provided with minimal management effort or provider interaction.

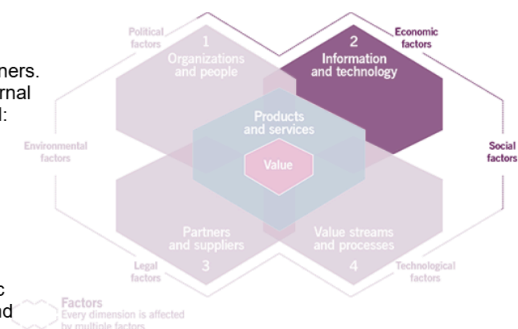
Lesson Content > Information and Technology

Click on the section you would like to review.

Second Dimension

Cloud computing changes service architecture and the distribution of responsibilities between service consumers, service providers and their partners. It especially applies to in-house service providers, i.e. the organization's internal IT departments. In a typical situation, adoption of the cloud computing model:

- replaces some infrastructure, previously managed by the service provider, with a partner's cloud service
- decreases or removes the need for infrastructure management expertise and the resources of the service provider
- shifts the focus of service monitoring and control from the in-house infrastructure to a partner's services
- changes the cost structure of the service provider, removing specific capital expenditures and introducing new operating expenditures and the need to manage them appropriately
- introduces higher requirements for network availability and security
- introduces new security and compliance risks and requirements, applicable to both the service provider and their partner providing the cloud service
- provides users with opportunities to scale service consumption using self-service, via simple standard requests, or even without any requests



Lesson Content > Information and Technology

Click on the section you would like to review.

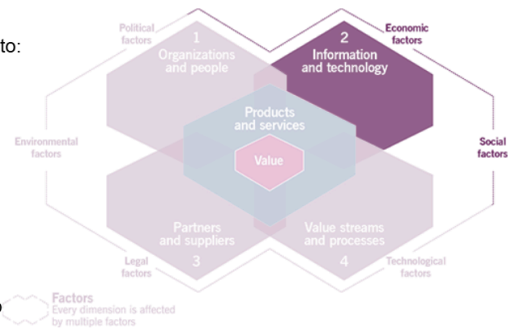
Second Dimension

All these affect multiple service providers' practices, including, but not limited to:

- service level management
- measurement and reporting
- information security management
- service continuity management
- supplier management
- incident management
- problem management
- service request management
- service configuration management

Cloud infrastructure may enable significantly faster deployment of new and changed services, thus supporting high velocity service delivery. The ability to configure and deploy computing resources with the same speed as new applications is an important prerequisite for the success of DevOps and similar initiatives. This supports modern organizations in their need for faster time-to-market and digitalization of their services.

It is important for organizations to make decisions about the use of this model at the strategic level of the organization, involving all levels of stakeholders, from governance to operations.



Lesson Content > Partners and Suppliers

Click on the section you would like to review.

Third Dimension

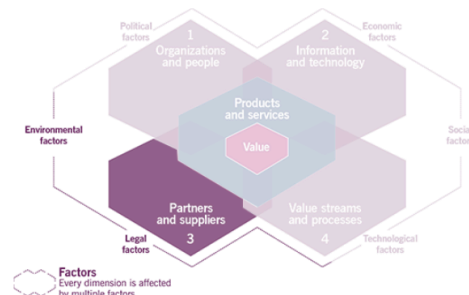
The third dimension of service management is **partners and suppliers**. Every organization and every service depends to some extent on services provided by other organizations.



The partners and suppliers dimension encompasses an organization's relationships with other organizations that are involved in the design, development, deployment, delivery, support and/or continual improvement of services. It also incorporates contracts and other agreements between the organization and its partners or suppliers.

Relationships between organizations may involve various levels of integration and formality. This ranges from formal contracts with clear separation of responsibilities, to flexible partnerships where parties share common goals and risks, and collaborate to achieve desired outcomes.

[Click here](#) to see some examples of relationships between organizations.



Lesson Content > Partners and Suppliers

Click on the section you would like to review.

Third Dimension

Relationships are complex between organizations and are not fixed and distinctive but exist as a scale. True partnerships have levels of trust and levels of dependencies. By working together, these partnerships share vision, objectives, risks, and benefits.

Every organization and every service depends to some extent on services provided by other organizations.

Organization Acting as Service Provider

ROLE = will vary on this scale depending on their strategy and objectives for customer relationships

Organization Acting as Service Consumer

ROLE = depending on the role, it will determine its strategy and objectives for sourcing and supplier management

Example

Some organizations may believe that they will be best served by focusing their attention on developing certain core competencies, using partners and suppliers to provide other needs.

Other organizations may choose to rely as much as possible on their own resources, using partners and suppliers as little as possible. There are many variations between these two opposite approaches.

Lesson Content > Partners and Suppliers

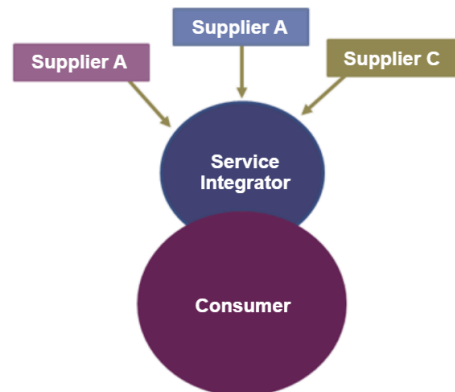
Click on the section you would like to review.

Third Dimension

One method an organization may use to address the partners and suppliers dimension is **service integration and management**. This involves the use of a specially established integrator to ensure that service relationships are properly coordinated. Service integration and management may be kept within the organization, but can also be delegated to a trusted partner.

The last decade has seen an explosion in companies that offer technical resources (infrastructure) or capabilities (platforms, software) 'as a service'.

These companies bundle goods and services into a single product offering that can be consumed as a utility, and is typically accounted for as operating expenditure. This frees companies from investing in costly infrastructure and software assets that need to be accounted for as capital expenditure.

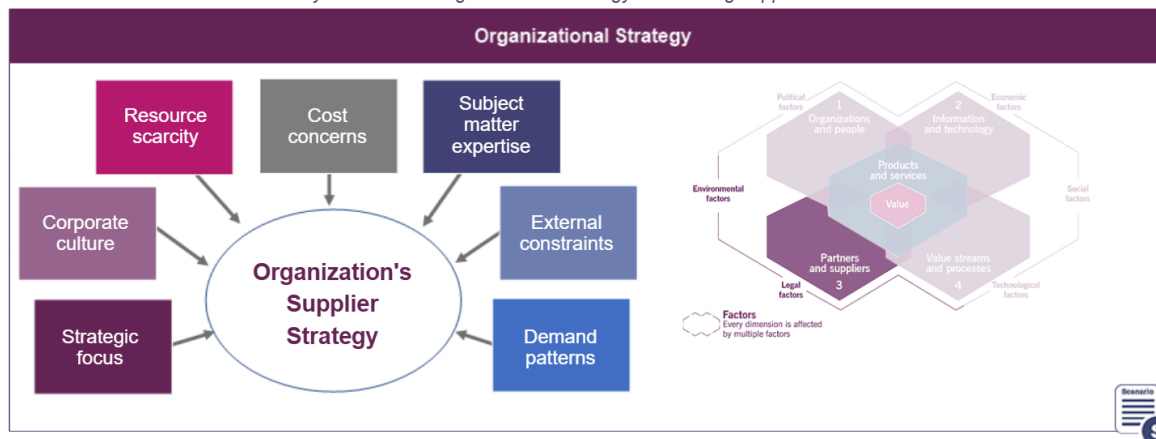


Lesson Content > Partners and Suppliers

Click on the section you would like to review.

Third Dimension

Click on each of the factors that may influence an organization's strategy when using suppliers.



- **Strategic focus:** some organizations may prefer to focus on their core competence and to outsource non-core supporting functions to third parties; others may prefer to stay as self-sufficient as possible, retaining full control over all important functions.
- **Corporate culture:** Some organizations have a historical preference for one approach over another. Long-standing cultural bias is difficult to change without compelling reasons.
- **Resource scarcity:** If a required resource or skillset is in short supply, it may be difficult for the service provider to acquire what is needed without engaging a supplier.

- **Cost concerns:** A decision may be influenced by whether the service provider believes that it is more economical to source a particular requirement from a supplier.
- **Cost concerns:** A decision may be influenced by whether the service provider believes that it is more economical to source a particular requirement from a supplier.
- **External constraints:** Government regulation or policy, industry codes-of-conduct and social, political or legal constraints might impact an organization's supplier strategy.
- **Demand patterns:** Customer activity or demand for services might be seasonal or demonstrate high degrees of variability. These patterns may impact the extent to which organizations use external service providers to cope with variable demand.

What You Need to Know

Key Definitions

Lesson Content

Check Your Understanding

Lesson Content > Value Streams and Processes

Click on the section you would like to review.

Fourth Dimension

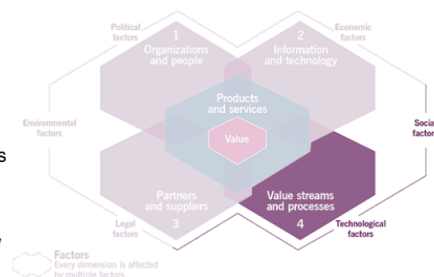
The fourth dimension of service management is **value streams and processes**. Like the other dimensions, the value streams and processes dimension is applicable to both the SVS in general, and to specific products and services. In both contexts it defines the activities, workflows, controls and procedures needed to achieve agreed objectives.



Applied to the organization and its SVS, the value streams and processes dimension is concerned with how the various parts of the organization work in an integrated and coordinated way to enable value creation through products and services. The dimension focuses on what activities the organization undertakes, and how they are organized, as well as how the organization ensures that it is enabling value creation for all stakeholders efficiently and effectively.

ITIL gives organizations acting as service providers an operating model that covers all the key activities required to effectively manage products and services. This is referred to as the **ITIL service value chain**.

The service value chain operating model is generic but in practice it can follow different patterns known as value streams.



Lesson Content > Value Streams and Processes

Click on the section you would like to review.

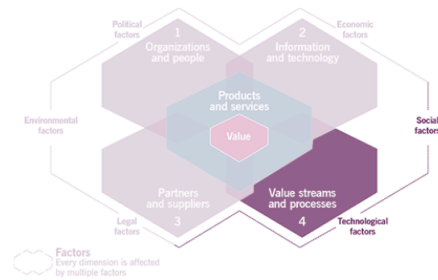
Fourth Dimension

Value Streams for Service Management

Value Stream

A series of steps an organization undertakes to create and deliver products and services to consumers. A value stream is a combination of the organization's value chain activities..

Identifying and understanding the various value streams an organization has is **critical** to improving its overall performance. Structuring the organization's service and product portfolios around value streams allows it to have a clear picture of what it delivers and how, and to make continual improvements to its services.



Lesson Content > Value Streams and Processes

Click on the section you would like to review.

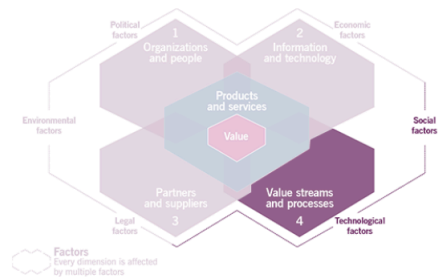
Fourth Dimension

Value Streams for Service Management

Organizations should examine how they perform work and map all the value streams they can identify for each of their products and services. This will enable them to analyze their current state and identify any barriers to workflow and non-value-add activities, i.e. waste. Wasteful activities should be eliminated to increase productivity.

Opportunities to increase value-adding activities can be found across the service value chain. These may be new activities, or modifications to existing ones, which can make the organization more productive. Value stream optimization may include process automation or adoption of emerging technologies and ways of working to gain efficiencies or enhance user experience.

Depending on the organization's strategy, value streams can be redefined to react to changing demand and other circumstances, or remain stable for a significant amount of time. In any case, they should be continually improved to ensure that the organization achieves its objectives in an optimal way.



Lesson Content > Value Streams and Processes

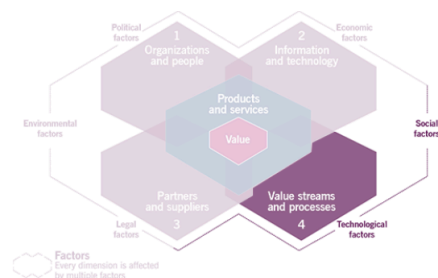
Click on the section you would like to review.

Fourth Dimension

Processes



A process is a set of activities that transform inputs to outputs. Processes describe what is done to accomplish an objective, and well-defined processes can improve productivity within and across organizations. They are usually detailed in procedures, which outline who is involved in the process, and work instructions, which explain how they are carried out.



Lesson Content > Value Streams and Processes

Click on the section you would like to review.

Fourth Dimension

Processes

The same structure of the value chain, value streams, processes, procedures and work instructions applies to specific services: to successfully create, deliver and improve a service, the following questions need to be answered:



What is the generic delivery model for the service, and how does the service work?

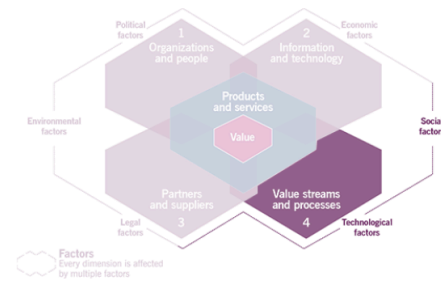


What are the value streams involved in delivering the agreed outputs of the service?



Who, or what, performs the required service actions?

Specific answers to these questions will vary depending on the nature and architecture of the service.



Topic 5: Service Value System

What You Need to Know

Click on the section you would like to review.

1. Understand the purpose and components of the ITIL service value system.
2. Describe the ITIL service value system.



Key Definitions

Click on the section you would like to review.

Click on each word to view its definition.

- [Agile](#)
- [Continual Improvement Practice](#)
- [Demand](#)
- [DevOps](#)
- [Governance](#)
- [ITIL Guiding Principles](#)
- [Lean](#)
- [Value](#)
- [Value Stream](#)
- [Value Stream and Processes](#)

Agile

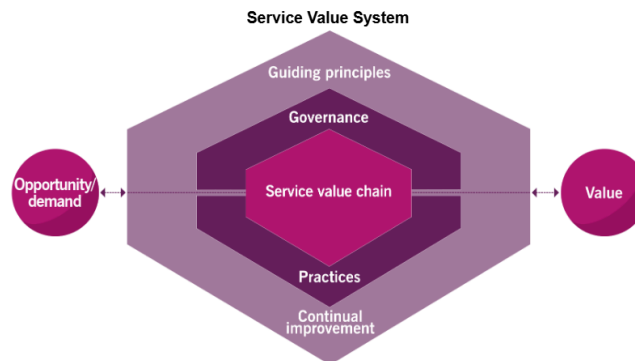
An umbrella term for a collection of frameworks and techniques that together enable teams and individuals to work in a way that is typified by collaboration, prioritization, iterative and incremental delivery, and timeboxing. There are several specific methods (or frameworks) that are classed as Agile, such as Scrum, Lean and Kanban.

Lesson Content > Introduction

Click on the section you would like to review.

Overview of Service Value System

The SVS is a new concept for ITIL 4 and is the foundational model in which the rest of the ITIL 4 sits. This system describes how all the components and activities within an organization work together as a complete system to enable value creation.



Click each circle to review the page again.

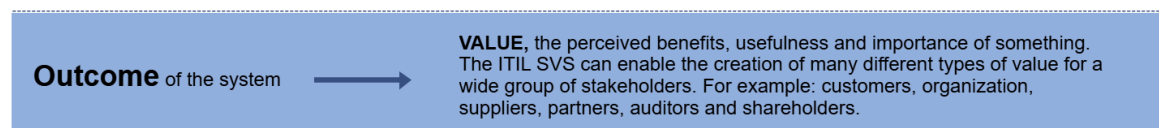


Lesson Content > Introduction*Click on the section you would like to review.***Overview of Service Value System**

For service management to function properly, it needs to work as a system. The ITIL Service Value System (SVS) describes:

**Lesson Content > Introduction***Click on the section you would like to review.***Overview of Service Value System**

Each organization's SVS has interfaces with other organizations, forming an ecosystem that can in turn facilitate value for those organizations, their customers and other stakeholders.



Lesson Content > ITIL Service Value System

Click on the section you would like to review.

Components of Service Value System

The ITIL SVS includes the following components:

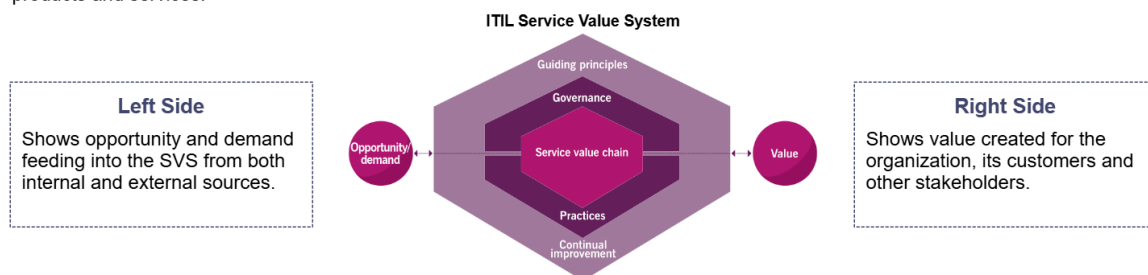
- ➡ **Guiding Principles** Recommendations that can guide an organization in all circumstances, regardless of changes in its goals, strategies, type of work, or management structure.
- ➡ **Governance** The means by which an organization is directed and controlled.
- ➡ **Service Value Chain** A set of interconnected activities that an organization performs to deliver a valuable product or service to its consumers and to facilitate value realization.
- ➡ **Practices** Sets of organizational resources designed for performing work or accomplishing an objective.
- ➡ **Continual Improvement** A recurring organizational activity performed at all levels to ensure that an organization's performance continually meets stakeholders' expectations. ITIL 4 supports continual improvement with the ITIL continual improvement model.

Lesson Content > ITIL Service Value System

Click on the section you would like to review.

Purpose of the ITIL Service Value System

It ensures that the organization continually co-creates value with all stakeholders through the use and management of products and services.



In order for the SVS to be truly effective, the components and activities, together with the organization's resources, can be configured and reconfigured in multiple combinations in a flexible way as circumstances change, but this requires the integration and coordination of activities, practices, teams, authorities and responsibilities of all parties.

Lesson Content > ITIL Service Value System

Click on the section you would like to review.

Challenges of the ITIL Service Value System

One of the biggest challenges an organization can face when trying to work effectively and efficiently with a shared vision, or to become more agile and resilient, is the presence of **organizational silos**.

Practices can also become silos. Many organizations have implemented practices without clear interfaces with other practices. All practices should have many interfaces with one another. The exchange of information between practices should be triggered at key points in the workflow, and is essential to the proper functioning of the organization.



Disadvantages of Siloed Organizations

- resistant to change
- prevents easy access to information and specialized expertise across the organization
- reduced efficiency therefore increased cost and risk
- difficult to communicate and collaborate across different groups
- cannot act quickly to take advantage of opportunities
- cannot optimize the use of resources across the organization
- unable to make effective decisions about changes, due to limited visibility and many hidden agendas

Lesson Content > ITIL Service Value System*Click on the section you would like to review.***Service Value Chain**

The ITIL SVS has been specifically designed to enable flexibility within organizations and to discourage siloed working.

The chain activities and the practices in the SVS **DO NOT** form a fixed, rigid structure but rather stretch across the SVS. This way of working promotes flexibility and discourages siloed thinking and behavior.

With these components the ITIL SVS supports many approaches, such as Agile, DevOps, and Lean, as well as traditional process and project management, with a flexible value-oriented operating model.

**Lesson Content > ITIL Service Value System***Click on the section you would like to review.*

An organization can take any number of forms, including but not limited to:

- Sole-trader
- Company
- Corporation
- Firm
- Enterprise
- Authority
- Partnership
- Charity or institution

The scope of the SVS can be a whole organization or a smaller subset of that organization. To achieve the maximum value from the SVS and to properly address the issue of organizational silos, it is preferable to include in the scope the whole organization rather than a subset.

**Lesson Content > ITIL Service Value System***Click on the section you would like to review.***Organizational Agility and Organizational Resilience***Click on each tab below to read more.*

For organizations to be successful, they must achieve **organizational agility** to support internal changes and **organizational resilience**, allowing it to withstand and even thrive with changing external circumstances. The organization must also be considered as part of a larger ecosystem of organizations, all delivering, coordinating and consuming products and services.

The ITIL SVS provides the means to achieve organizational agility and resilience and to facilitate the adoption of a strong unified direction, focused on value and understood by everyone in the organization. It also enables continual improvement throughout the organization.



Lesson Content > ITIL Service Value System

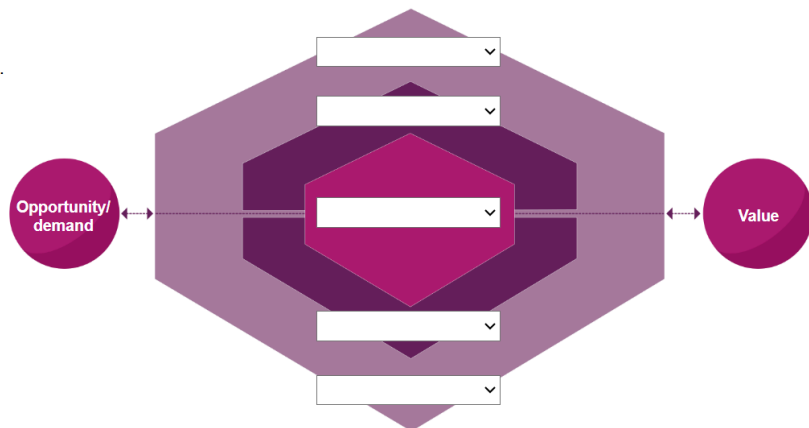
Click on the section you would like to review.

Knowledge Check

Let's see if you remember the components of the Service Value System.

From the drop-down menu, select the correct component on the image for the Service Value System.

Submit



Topic 6: Activities of Service Value Chain

What You Need to Know

Click on the section you would like to review.

1. Describe the interconnected nature of the service value chain and how this supports the value streams
2. Describe the purpose of each value chain activity:
 - Plan
 - Improve
 - Engage
 - Design & transition
 - Obtain/build
 - Deliver & support



Key Definitions

Click on the section you would like to review.

Click on each word to view its definition.

- [Deliver and Support](#)
- [Demand](#)
- [Design and Transition](#)
- [Engage](#)
- [Improve](#)
- [Obtain/Build](#)
- [Plan](#)
- [Product](#)
- [Service](#)
- [Service Management](#)
- [Value](#)

Deliver and Support

The value chain activity that ensures services are delivered and supported according to agreed specifications and stakeholders' expectations.

- **Plan:** The value chain activity that ensures a shared understanding of the vision, current status, and improvement direction for all four dimensions and all products and services across an organization.
- **Improve:** The value chain activity that ensures continual improvement of products, services, and practices across all value chain activities and the four dimensions of service management.
- **Engage:** The value-chain activity that provides a good understanding of stakeholder needs, transparency, and continual engagement and good relationships with all stakeholders.
- **Design & transition:** The value chain activity that ensures products and services continually meet stakeholder expectations for quality, costs, and time to market.
- **Obtain/build:** The value chain activity that ensures service components are available when and where they are needed, and that they meet agreed specifications.
- **Deliver and support** is defined as the value chain activity that ensures services are delivered and supported according to agreed specifications and stakeholders' expectations.
- **Obtain/Build:** The value chain activity that ensures service components are available when and where they are needed, and that they meet agreed specifications.

Lesson Content > Introduction

Click on the section you would like to review.

Service Value Chain

The central element of the SVS is the **service value chain**, an operating model which outlines the key activities required to respond to demand and facilitate value realization through the creation and management of products and services.



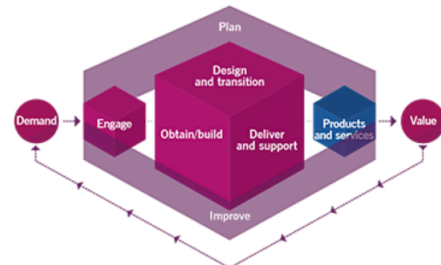
The ITIL service value chain includes six value chain activities which lead to the creation of products and services and, in turn, **VALUE**. The six value chain activities are:

- plan
- improve
- engage
- design and transition
- obtain/build
- deliver and support



These are the steps an organization takes in the creation of value. Each activity contributes to the value chain by transforming specific inputs into outputs. These inputs could be demand from outside the value chain, or they could be outputs of other activities. In this way the activities are connected to, and interact with one another, with each activity receiving and providing triggers for further actions to be taken.

The ITIL Service Value Chain Activities



Lesson Content > Introduction

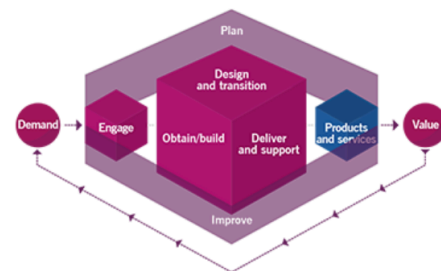
Click on the section you would like to review.

To convert **inputs** into **outputs**, the value chain activities use different combinations of ITIL practices (sets of resources designed for performing certain types of work). Each activity may draw upon internal or third party resources, processes, skills and competencies from one or more practices.

Example

The **engage** value chain activity might draw upon a number of practices including supplier management, service desk management, relationship management and service request management to respond to new demands for products and services, decisions, or information from various stakeholders.

The ITIL Service Value Chain Activities



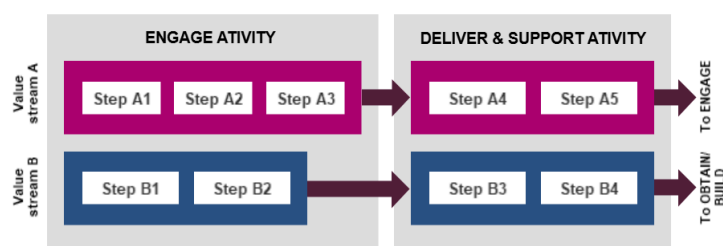
Lesson Content > Service Value Streams

Click on the section you would like to review.

What is a Service Value Stream?

Organizations create **service value streams** to carry out a certain task or respond to a particular situation. Service value streams are specific combinations of value chain activities and practices and each one is designed for a particular scenario. The inputs and outputs must be understood as specific to a particular value stream or flow. Once designed, value streams should be subject to continual improvement.

Take a look at these examples of a service value stream and notice how the activities have been combined in different orders based on specific scenario.



Example

A value stream might be created for a situation where a user of a service needs an incident to be resolved. The value stream will be designed specifically to be used in this scenario, and will provide a complete guide of the activities, practices and roles involved in resolving the issue.

Lesson Content > Service Value Streams

Click on the section you would like to review.

Examples of Value Streams

Take a minute to review some examples of value chains, practices and value streams. These will show you how multiple practices support the work and how some practices support multiple value chain activities at different times.

Click each example to open a PDF link.

1. **A user needs an incident to be resolved**
 - This example summarizes the different actions and resources required to resolve this simple incident.
2. **An error in third-party software creates issues for a user**
 - In this example a user discovers an issue when using an application. The vendor has a patch available and this needs to be installed to rectify the situation.
3. **Business requirement for a significant new IT service**
 - In this example the internal IT department of a shoe manufacturer identifies a need for a new IT service.
4. **Regulatory change required new software**
 - This example explains how a financial organization development must get ready to meet new regulatory requirements.

Example

A mobile application development company has a **value chain**, enabling the full cycle of application development and management, from business analysis to development, release and support. The company has developed a number of **practices**, supported with specialized resources and techniques:

- Business analysis
- Development
- Testing
- Release and deployment
- Support

Lesson Content > Service Value Streams

Click on the section you would like to review.

The high-level steps are universal but different products and clients need different **streams** of work.

The following examples show how value streams combine practices and value chain activities in various ways to improve products and services and increase potential value for the consumers and the organization.

Example

- The development of a new application for a new client starts with initial engagement (pre-sale), proceeds to prototyping, agreements, development and eventually to release and support.
- Changing an existing app to meet new requirements of existing clients does not include pre-sale and involves development, testing and support in a different way.
- Fixing an error in a live application may be initiated in support, proceed with rolling back to a previous stable version (release), then to development, testing and release of a fix.
- Experiments with new or existing apps to expand the target audience may start with innovation planning and prototyping, then proceed to development and eventually to a pilot release for a limited group of users to test their perception of the changes made.

Lesson Content > Service Value Streams

Click on the section you would like to review.

ITSM in the modern world: Agile ITSM

In the modern world, IT is essential for all organizations and it is expected that IT and IT management should be agile. Agility refers to software development and is associated with the Agile manifesto, proclaimed in 2001. The manifesto promoted new approaches to software development, and valued customer experience, collaboration and rapid changes. Agile software development methods have been adopted by many companies and software teams since then, and in many cases proven to be effective.

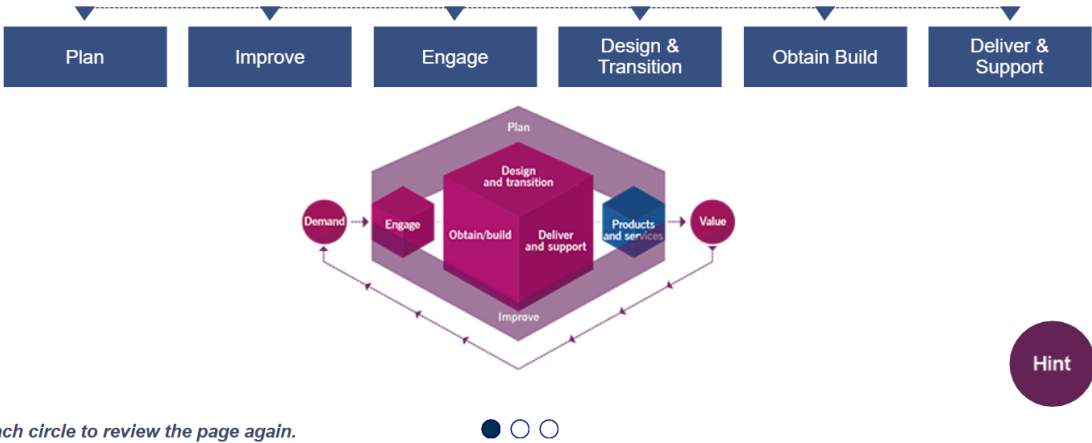
Agile software development includes:

- continually evolving requirements, collected through feedback analysis and direct observation
- breaking development work into small increments and iterations
- establishing product-based cross-functional teams
- visually presented (Kanban) and regularly discussed (daily stand-ups) work progress
- presenting a working (at least, the minimum viable) software to the stakeholders at the end of each iteration

When applied successfully, agile software development enables fast responses to the evolving needs of service consumers. A holistic approach to the service value chain should be adopted to make sure that the service provider is agile throughout the service lifecycle. This means that agility should become a quality of all service management dimensions and all service value chain activities.



The lists of inputs and outputs given are not prescriptive, and they can and should be adjusted when organizations design their value streams. Before you begin, use the Hint button to help you understand the inputs and outputs of each activity. **NOTE:** you will not be examined on the Inputs and Outputs; review only as a reference to see how they can be used.



Click each circle to review the page again.

Click on each of the six value chain activities for more information.

Plan

Improve

Engage

Design & Transition

Obtain Build

Deliver & Support

Purpose

Inputs

Outputs

REMEMBER:

You will not be examined on the Inputs and Outputs of these activities. When reviewing, understand that these are only to be used as a reference to see how they can be used.

Click each circle to review the page again.

Topic 7: Practices

What You Need to Know

Click on the section you would like to review.

1. Know the purpose of the following 15 ITIL practices:
 - Information security management
 - Relationship management
 - Supplier management
 - IT asset management
 - Monitoring and event management
 - Release management
 - Service configuration management
 - Deployment management
 - Continual improvement
 - Change enablement
 - Incident management
 - Problem management
 - Service request management
 - Service desk
 - Service level management
2. Recall the definition of the following key terms related to ITIL practices:
 - IT asset
 - Event
 - Configuration items
 - Change
 - Incident
 - Problem
 - Known Error
3. Explain the following 7 ITIL practices in detail, including how they fit within the service value chain:
 - Continual improvement
 - Change enablement
 - Incident management
 - Problem management
 - Service request management
 - Service desk
 - Service level management

Key Definitions

Click on the section you would like to review.

Click on each word to view its definition.

- [Architecture Management Practice](#)
- [Business Analysis Practice](#)
- [Capacity and Performance Management Practice](#)
- [Change](#)
- [Change Enablement Practice](#)
- [Configuration Item \(CI\)](#)
- [Continual Improvement Practice](#)
- [Deployment Management Practice](#)
- [Event](#)
- [Incident Management](#)
- [Infrastructure and Platform Management Practice](#)
- [Information Security Management Practice](#)
- [IT Asset Management Practice](#)
- [Knowledge Management Practice](#)
- [Known Error](#)
- [Monitoring and Event Management Practice](#)
- [Organizational Change Management Practice](#)
- [Portfolio Management Practice](#)
- [Problem](#)

Architecture Management Practice

The practice of providing an understanding of all the different elements that make up an organization and how those elements relate to one another.

Next >

- **Architecture Management Practice:** The practice of providing an understanding of all the different elements that make up an organization and how those elements relate to one another.
- **Business Analysis Practice:** The practice of analyzing a business or some element of a business, defining its needs and recommending solutions to address these needs and/or solve a business problem, and create value for stakeholders.
- **Capacity and Performance Management Practice:** The practice of ensuring that services achieve agreed and expected performance levels, satisfying current and future demand in a cost- effective way.

- **Change:** The addition, modification, or removal of anything that could have a direct or indirect effect on services.
- **Change Enablement Practice:** The practice of ensuring that risks are properly assessed, authorizing changes to proceed and managing a change schedule in order to maximize the number of successful IT changes.
- **Configuration Item (CI):** Any component that needs to be managed in order to deliver an IT service.
- **Continual Improvement Practice:** The practice of aligning an organization's practices and services with changing business needs through the ongoing identification and improvement of all elements involved in the effective management of products and services.
- **Deployment Management Practice:** The practice of moving new or changed hardware, software, documentation, processes, or any other service component to live environments.
- **Event:** The practice of moving new or changed hardware, software, documentation, processes, or any other service component to live environments.
- **Incident Management:** The practice of minimizing the negative impact of incidents by restoring normal service operation as quickly as possible.
- **Infrastructure and Platform Management Practice:** The practice of overseeing the infrastructure and platforms used by an organization. This enables the monitoring of technology solutions available, including solutions from third parties.
- **Information Security Management Practice:** The practice of protecting an organization by understanding and managing risks to the confidentiality, integrity, and availability of information.
- **IT Asset Management Practice:** The practice of planning and managing the full lifecycle of all IT assets.
- **Knowledge Management Practice:** The practice of maintaining and improving the effective, efficient, and convenient use of information and knowledge across an organization.
- **Known Error:** A problem that has been analysed but has not been resolved.

- **Monitoring and Event Management Practice:** The practice of systematically observing services and service components, and recording and reporting selected changes of state identified as events.
- **Organizational Change Management Practice:** The practice of ensuring that changes in an organization are smoothly and successfully implemented and that lasting benefits are achieved by managing the human aspects of the changes.
- **Portfolio Management Practice:** The practice of ensuring that an organization has the right mix of programmes, projects, products, and services to execute its strategy within its funding and resource constraints.
- **Problem:** A cause of potential, current, or future incidents.

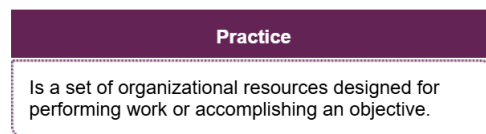


Lesson Content > Introduction

Click on the section you would like to review.

The ITIL Service Value System includes 14 general management practices, 17 service management practices, and 3 technical management practices, all of which are subject to the four dimensions of service management.

The word practice has now been brought to the forefront in ITIL 4.



Each practice supports **multiple** service value chain activities, including resources based on the 4 dimensions of service management. These practices are not categorized into specific value chain activities and practices are **NOT** uniquely linked to one value chain activity.



Lesson Content > Introduction

Click on the section you would like to review.



In ITIL, a management practice is a set of organizational resources designed for performing work or accomplishing an objective. The origins of the practices are as follows:

General management practices	Service management practices	Technical management practices
General management practices have been adopted and adapted for service management from general business management domains.	Service management practices have been developed in service management and ITSM industries.	Technical management practices have been adapted from technology management domains for service management purposes by expanding or shifting their focus from technology solutions to IT services.

Show Me

Lesson Content > Introduction

Click on the section you would like to review.

General management practices (14)	Service management practices (17)	Technical management practices (3)
- Architecture management - Continual improvement - Information security management - Knowledge management - Measurement and reporting - Portfolio management - Organizational change management - Project management - Relationship management - Risk management - Service financial management - Strategy management - Supplier management - Workforce and talent management	- Availability management - Business analysis - Capacity and performance management - Change Enablement - Incident management - IT asset management - Monitoring and event management - Problem management - Release management - Service catalog management - Service configuration management - Service continuity management - Service design - Service desk - Service level management - Service request management - Service validation and testing	- Deployment management - Infrastructure and platform management - Software development management

● Explain in detail 7 ITIL practices ● Recall purpose of 15 ITIL practices ● Recall definitions of 7 key terms in the ITIL practices ● Not covered and not examinable

Lesson Content > Introduction

Click on the section you would like to review.

ITSM in the modern world: high-velocity service management

In business innovation and differentiation, speed to market is a key success factor. If an organization takes too long to implement a new business idea, it is likely to be done faster by someone else. Because of this, organizations have started demanding shorter time to market from their IT service providers.

For service providers that have always used modern technology, this has not been a big challenge. They have adopted modern ways of scaling their resources and established appropriate practices for project and product management, testing, integration, deployment, release, delivery, and support of IT services. These practices have been documented and have triggered the development of new IT management movements and practices, such as DevOps. However, for organizations bearing a legacy of old IT architectures and IT management practices focused on control and cost efficiency, the new business demand has introduced a greater challenge.

Lesson Content > Introduction

Click on the section you would like to review.

High Velocity Service Delivery

High-velocity service delivery influences all the practices of a service provider, including general management practices, service management practices, and technical management practices. For example, an organization aiming to deliver and improve its services faster than others needs to consider:

- Agile project management
- Agile financial management
- product-based organizational structure
- adaptive risk management, and audit and compliance management
- flexible architecture management
- specific architecture technology solutions, such as microservices
- complex partner and supplier environments
- continual monitoring of technology innovations and experimenting
- human-centred design
- infrastructure management focused on cloud computing

Even if only some of the services in a provider's portfolio need high-velocity delivery, organizational changes of a significant scale are required to enable this, especially if the organization has a legacy of low-velocity services, practices, and habits. Moreover, bi-modal IT, where high-velocity service management is combined with traditional practices, introduces even more complexity and greater challenges. However, for many modern organizations, high-velocity service delivery is no longer an option but a necessity, and they must improve their service management practices to respond to this challenge.



Lesson Content > Key Terms Related to ITIL Practices *Click on the section you would like to review.*

We will review 7 definitions of **key terms** related to the ITIL practices. For the exam, you will **ONLY** be required to **recall** the **definition** of each of the terms identified.

IT Assets
Event
Configuration Items
Change
Incident
Problem
Known Error

Definition

Click on each key ITIL term to view its definition.

Click each circle to review the page again.



Lesson Content > Key Terms Related to ITIL Practices *Click on the section you would like to review.*

Knowledge Check

Let's see how many definitions you remember.

Pick an option from the drop down list on the right that matches the purpose statement on the left. Click **start** to begin.

1. The addition, modification, or removal of anything that could have a direct or indirect effect on services.

2. Any change of state that has significance for the management of a service or other configuration item (CI). Events are typically recognized through notifications created by an IT service, CI, or monitoring tool.

3. A cause, or potential cause, of one or more incidents.

4. Any financially valuable component that can contribute to the delivery of an IT product or service.

5. An unplanned interruption to a service or reduction in the quality of a service.

6. Any component that needs to be managed in order to deliver an IT service.

7. A problem that has been analyzed but has not been resolved.

Start

Introduction to Service Management with ITIL 4

69

Lesson Content > Details of Required ITIL Practices

Click on the section you would like to review.

Below we show how the ITIL practices fit together with the Service Value Chain to create Service Value Streams (perform tasks). Each practice is presented under the Service Value Chain activity category where the practice makes its greatest contribution in the

